Functional Area #1: HR Strategic Planning

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Strategy

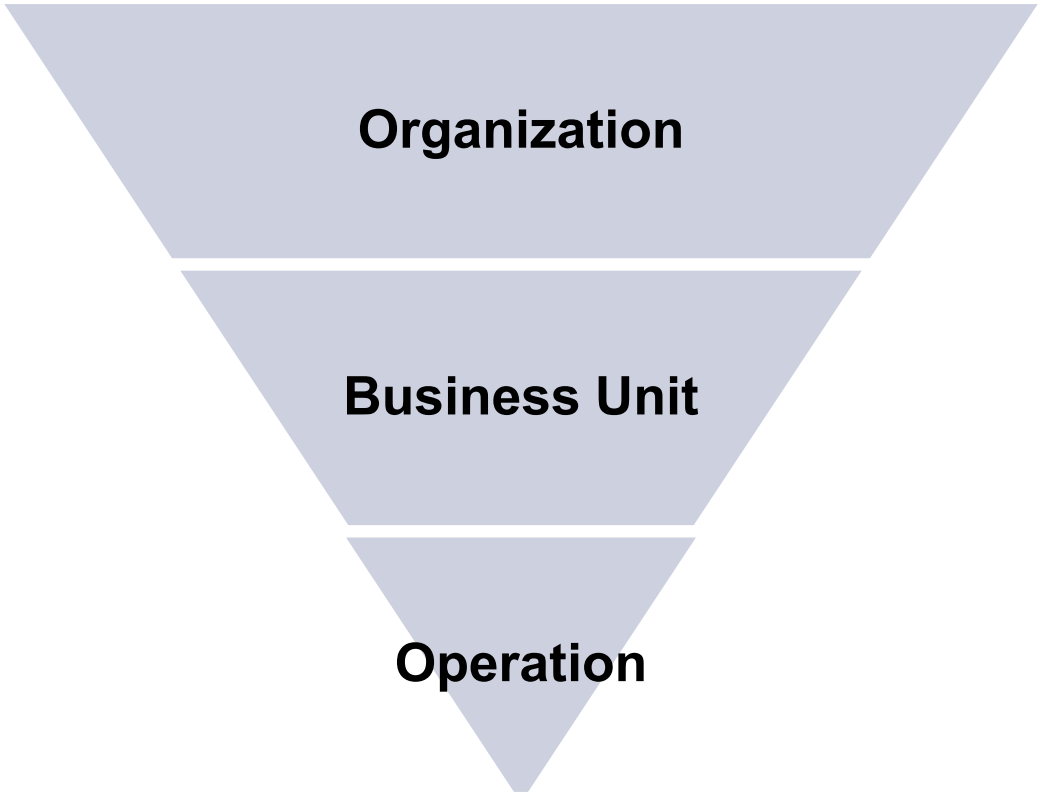
Strategy is…

- A long-range plan of action oriented to achieving defined goals.
- Created and refined through a **strategic planning** process.
- Implemented through **strategic management.**



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Levels of Strategy



- Strategic planning is repeated at each level with increasing focus and specificity.
- Business unit and operational strategies are closely aligned with the organizational strategy to better support its implementation.

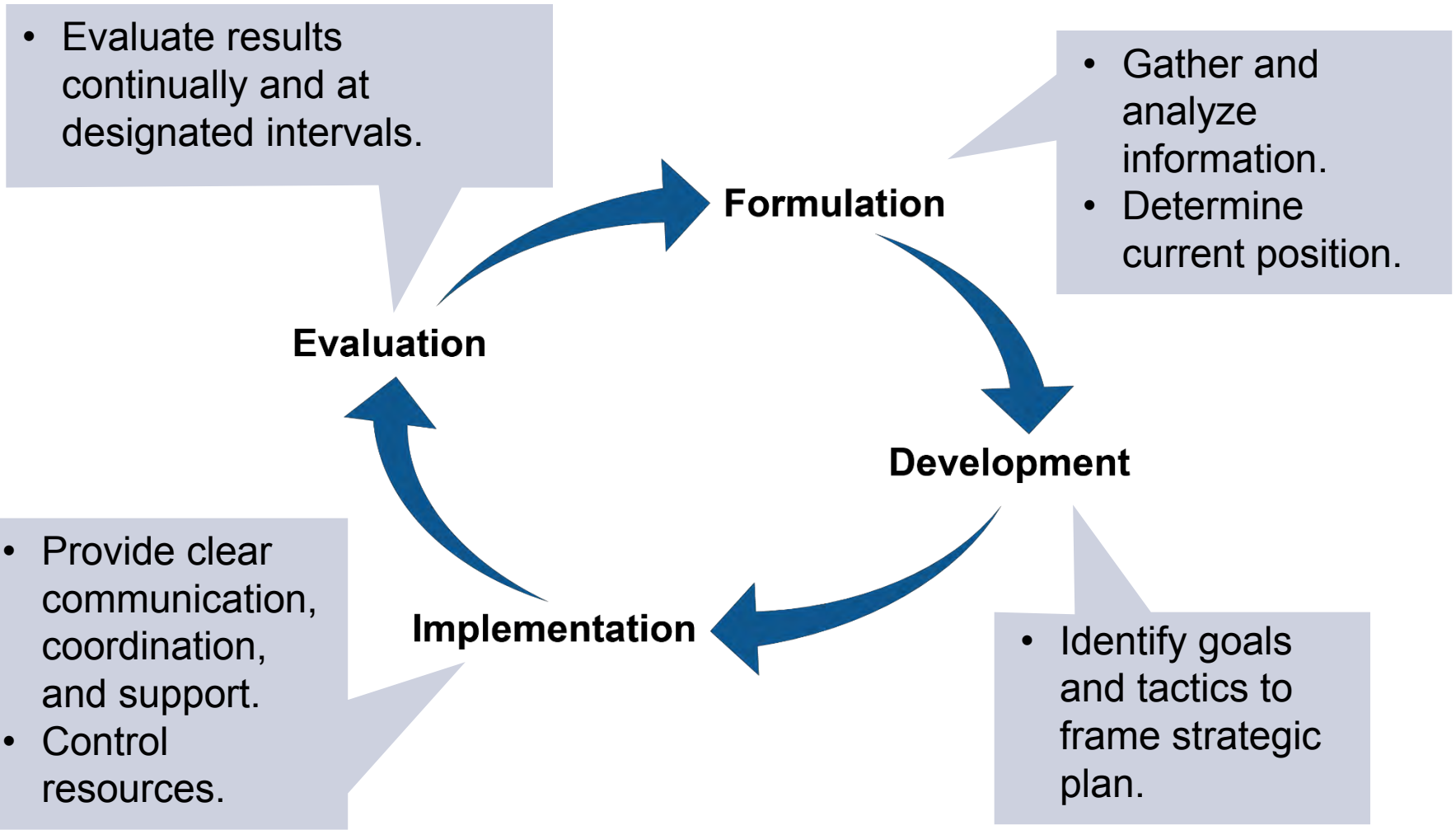
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Critical Success Factors

- Alignment of effort
- Control of drift
- Focus on core competencies

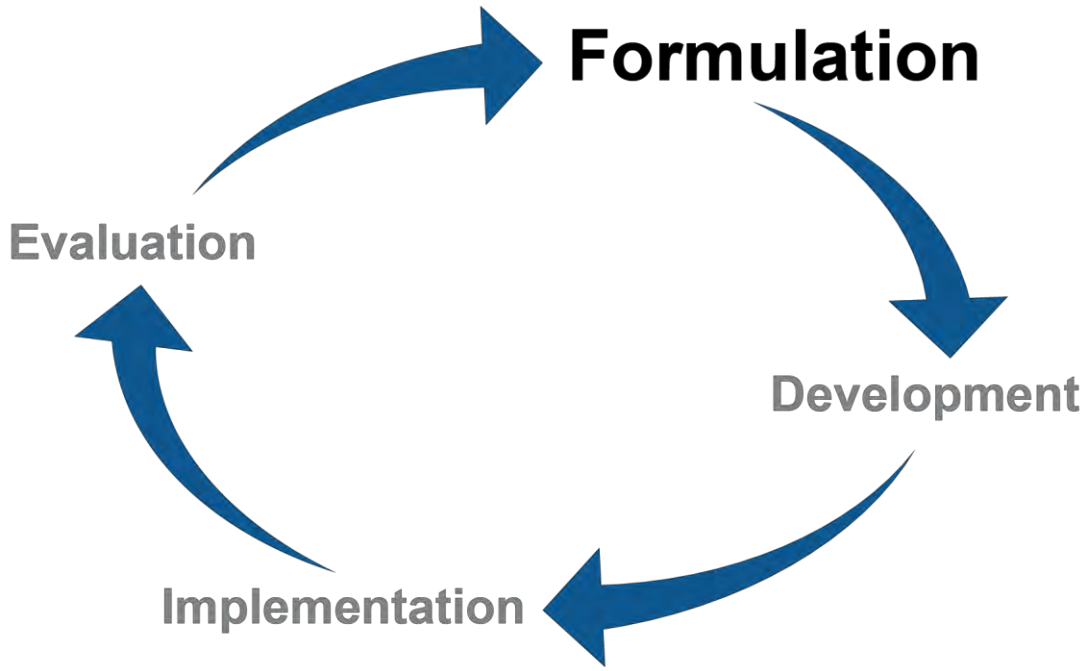
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Strategic Planning and Management Process



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Formulating Strategy



Deepening one's understanding of the organization and its internal and external environments and opportunities and challenges

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Systems Theory

- Strategic planning and management requires systems thinking. The challenge is to coordinate interacting and sometimes interdependent parts to achieve strategic goals.



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IPO Model

An input-process-output (IPO) model is often used to analyze actions.



Inputs can include internal and external constraints as well as organizational resources and external conditions. All of these inputs can affect the outcome.

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Environmental Scanning

Systematic survey and interpretation of relevant internal and external data to:

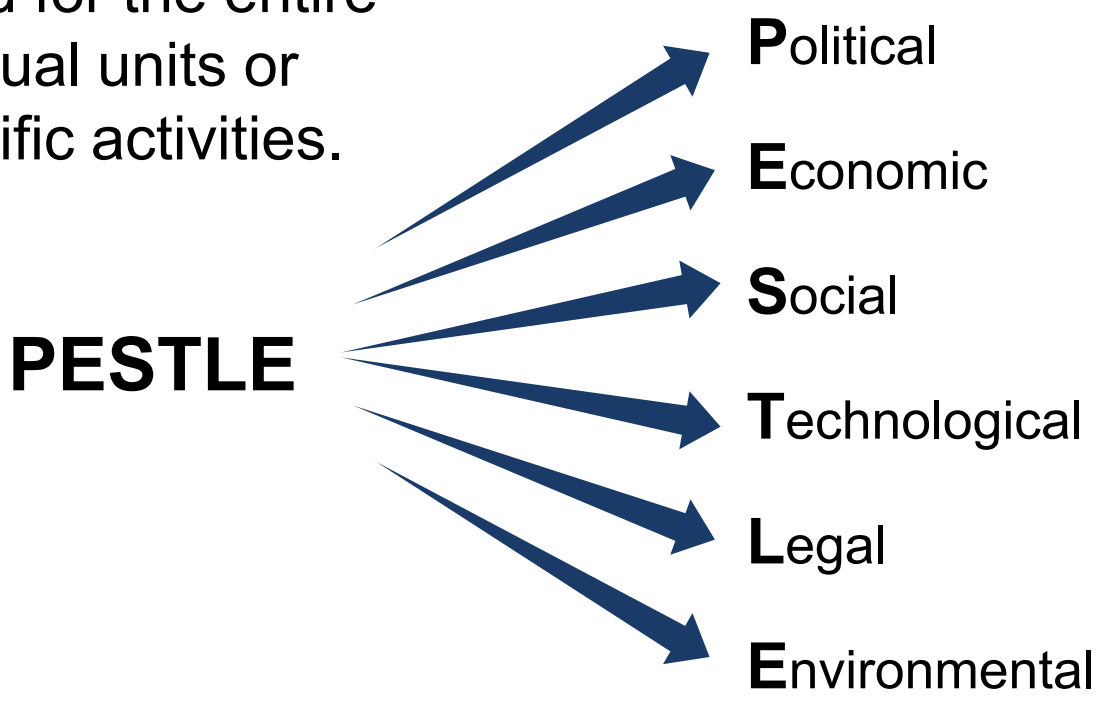
- Identify external threats and opportunities.
- Strengthen strategic plans and goals.

- ✓ PESTLE analysis
- ✓ SWOT analysis
- ✓ Growth-share matrix
- ✓ Scenario analysis

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PESTLE Analysis

- Systematic search for environmental forces organized under specific categories.
- PESTLE can be used for the entire enterprise, for individual units or functions, or for specific activities.



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PESTLE Process

List.

- Focus groups
- Experts

Identify impacts.

- Positive and negative
- Short and long term
- Ripples

Research impacts.

- Causes
- Dimensions
- Connections

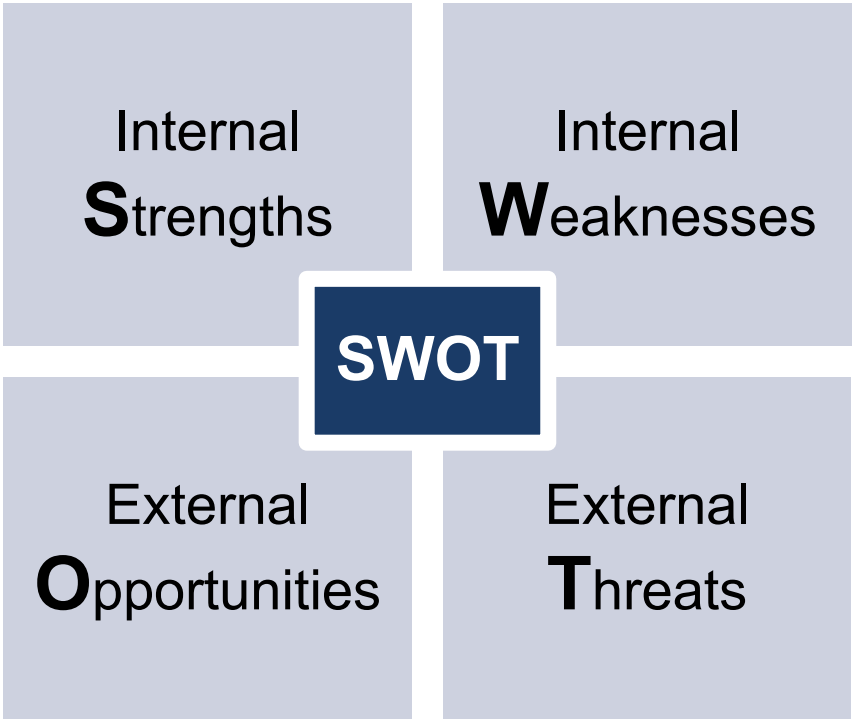
Assess.

- Importance
- Strength of data

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SWOT Analysis

- Uses data to assess strategic capabilities in comparison to threats and opportunities identified during environmental scanning.
- Can be performed for organizations, functions, initiatives.
- Can be applied to specific HR activities.

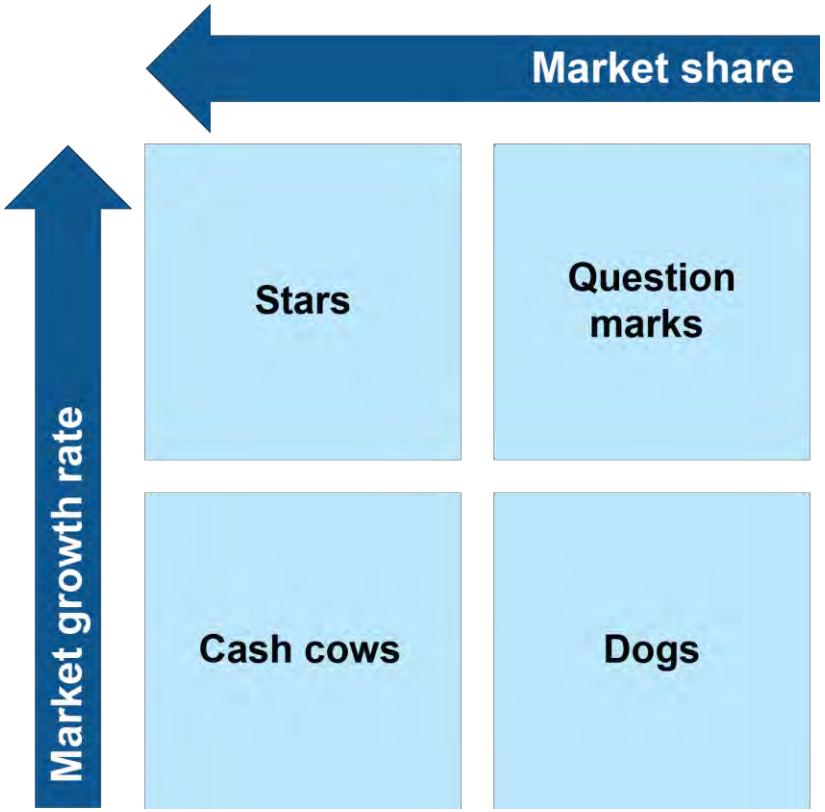


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Growth-Share Matrix

Uses data to find where the greatest value in the organization resides:

- **Stars**—high value
- **Cash cows**—create value reliably but with little opportunity for growth
- **Dogs**—consume resources without offering strong value or future growth
- **Question marks**—could be winners or losers



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Scenario Analysis

Compares the impact of changes in the environment on the organization's outputs

Identifies environmental factors that have the greatest potential for positive or negative impact

Facilitates the application of risk management principles to strategy formulation



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Mission, Vision, Values

Mission

- What the organization/function intends to pursue and its charted management course
- Provides focus and purpose of strategy

Vision

- What the organization/function aspires to become in the future
- Provides motivation and unity

Values

- What beliefs the organization/function supports through behaviors and actions
- Provides guidepost for decision making

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Setting Goals

General goals suggest how the organization will focus its resources.

Starts moving the organization and people in the intended direction.

Example: Increase productivity.

Organizational goal-setting process must be repeated on unit or functional level.

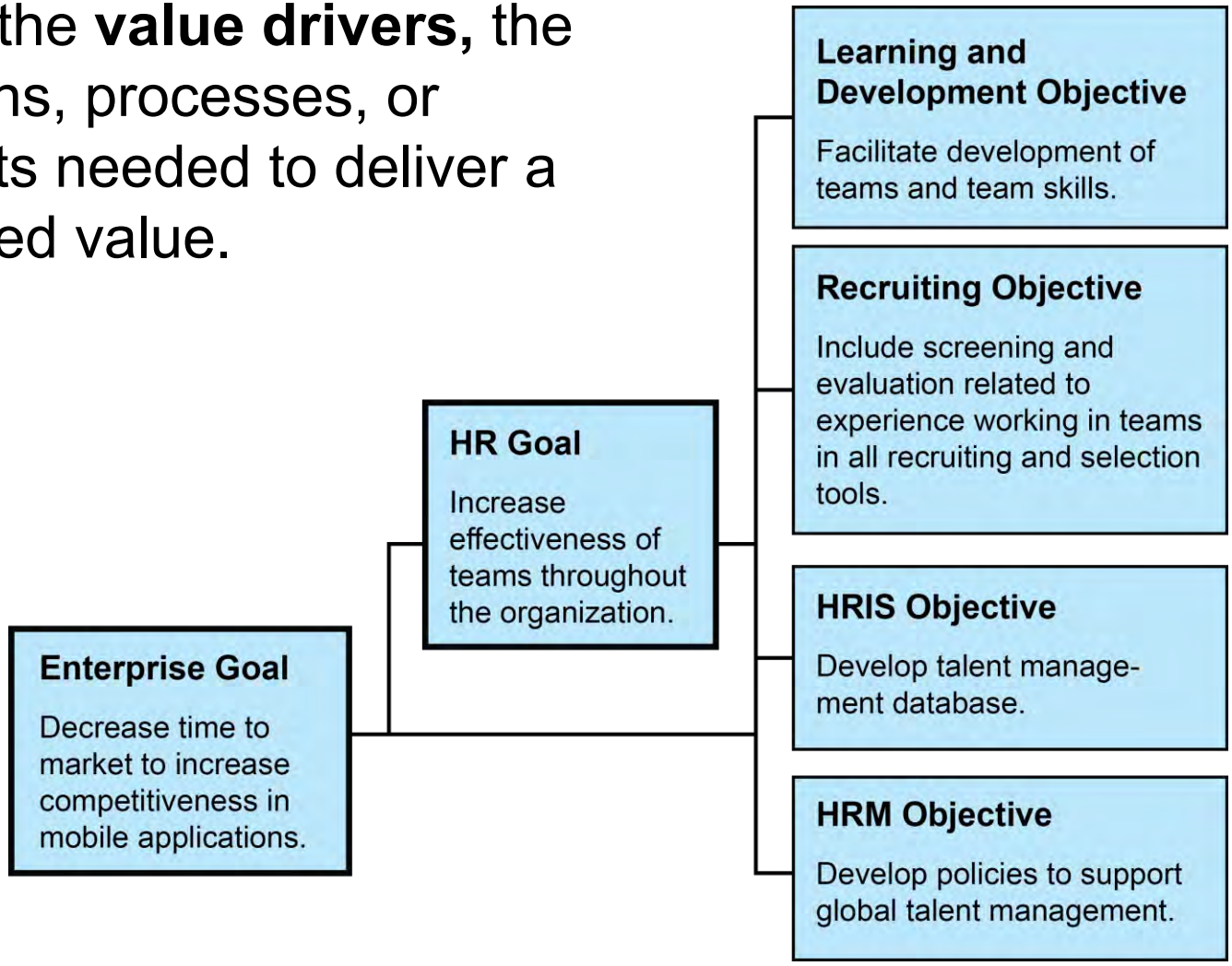
Creates a line of sight from the organization's strategic goals to the goals and objectives of the organization's functions and units.

Example for HR: Improve quality and efficiency of talent supply chain.

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Aligning HR Strategic Goals

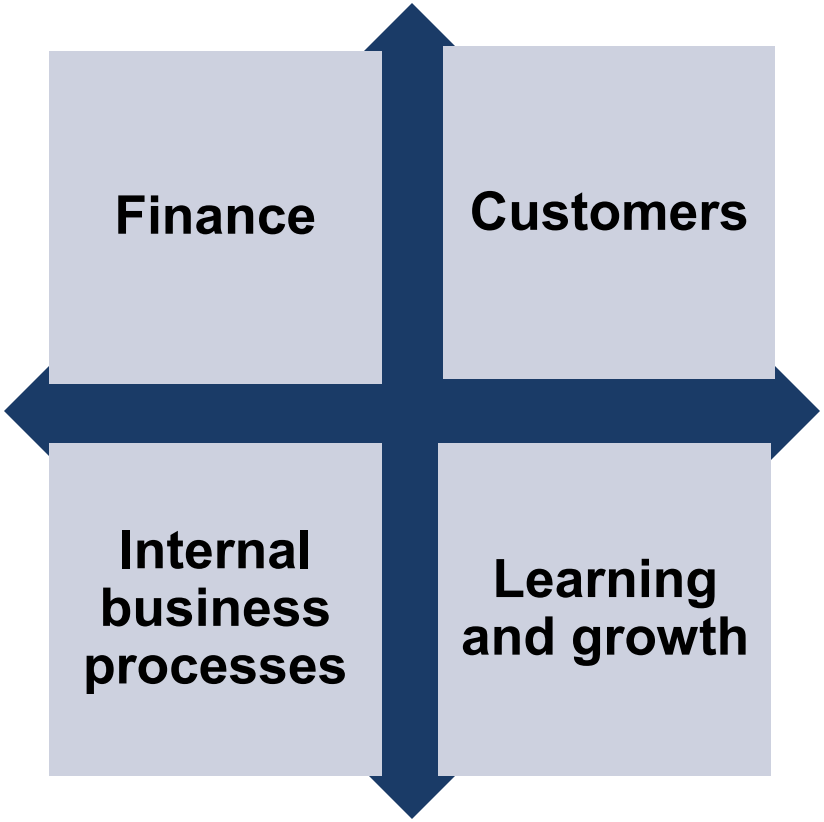
Find the **value drivers,** the actions, processes, or results needed to deliver a desired value.



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Using Balanced Scorecards

Provide a more strategy-focused, balanced, multi-perspective assessment of performance



Original balanced scorecard developed by Robert Kaplan and David Norton

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Leading/Lagging Indicators

Balanced scorecards include leading and lagging performance indicators.



Describes effects that have already occurred and cannot be changed.

For example, turnover rate indicates the success or lack of success in employee engagement.

Describes predictive actions that can change future performance and help achieve success.

For example, employee satisfaction indicates future retention rates and associated costs of hiring.

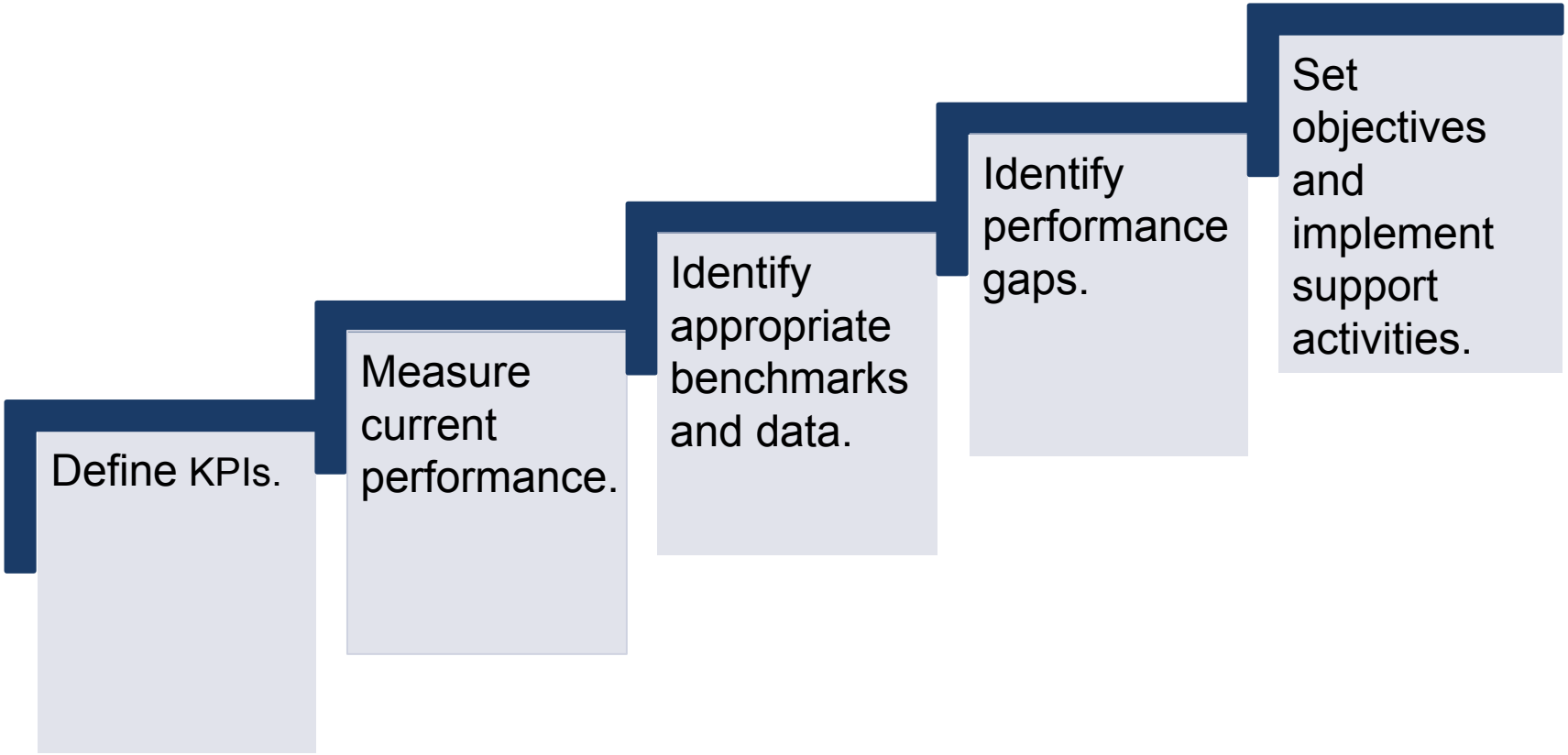
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SMARTER Performance Objectives

S	Specific
M	Measurable
A	Attainable
R	Relevant
T	Timebound
E	Evaluated
R	Revised

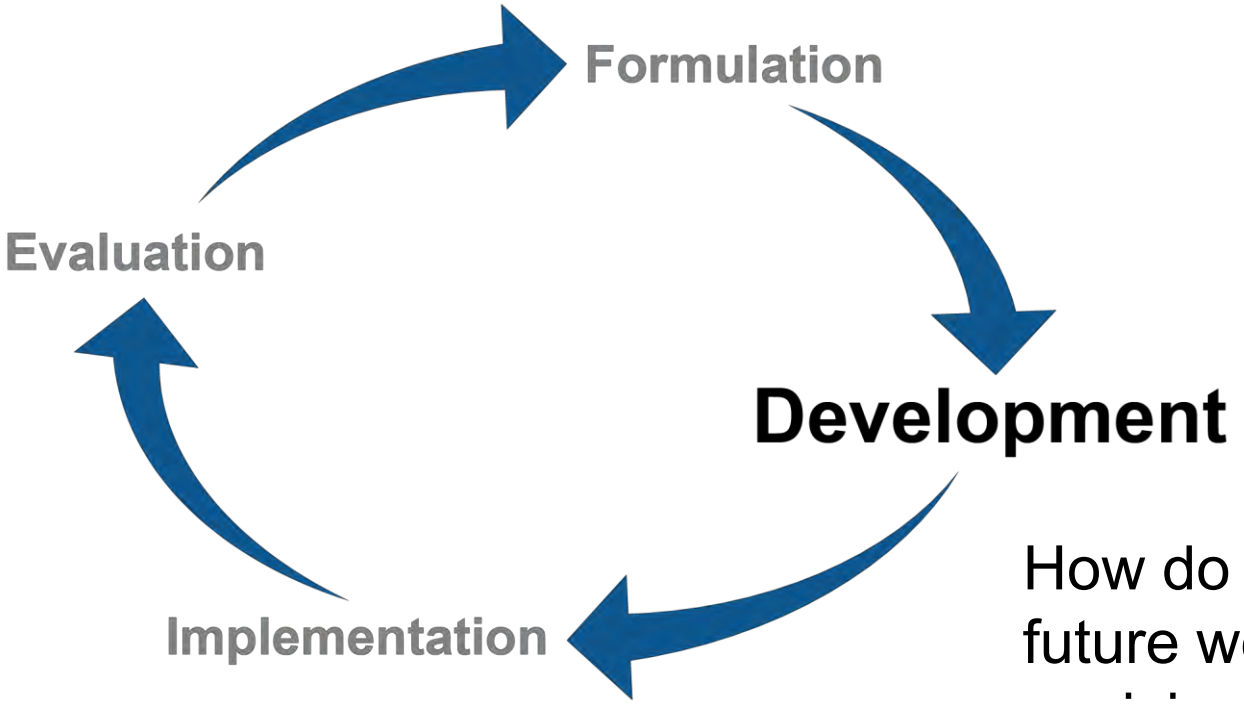
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Benchmarking Process



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Developing Strategy



How do we get to the future we have envisioned?

What strategy or strategies have “fit”?

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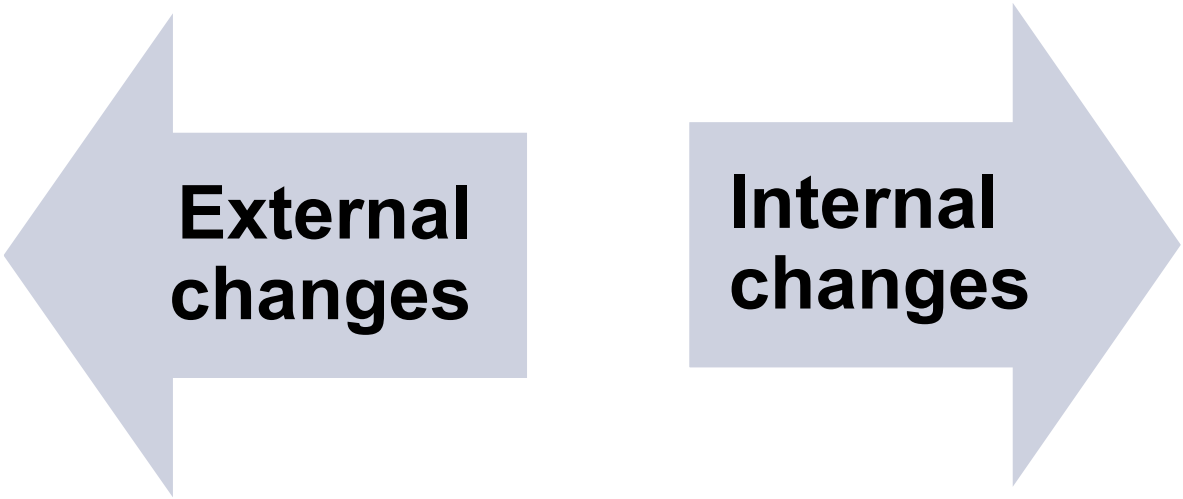
Strategic Fit

- Describes the consistency of strategy with internal and external environments.
- Reflects interconnectedness and alignment of activities throughout the organization (e.g., resources and capabilities deployed toward strategic goals).
- Strategic fit exists when activities:
  - ✓ Are consistent with the strategy.
  - ✓ Interact with and reinforce each other.
  - ✓ Are “optimized” to reach the strategic goal.

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Creating Competitive Advantage

There are two ways that an organization can create competitive advantage, and both involve change.



Compete by adapting quickly to changes in the external environment.

Compete through change, innovation, and reinvention.

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Porter's Competitive Strategies

Cost Leadership

Lowest price

Economies of scale, efficient production, agility

Differentiation

Higher price for unique offering

Skillful marketing and quality management

Focus

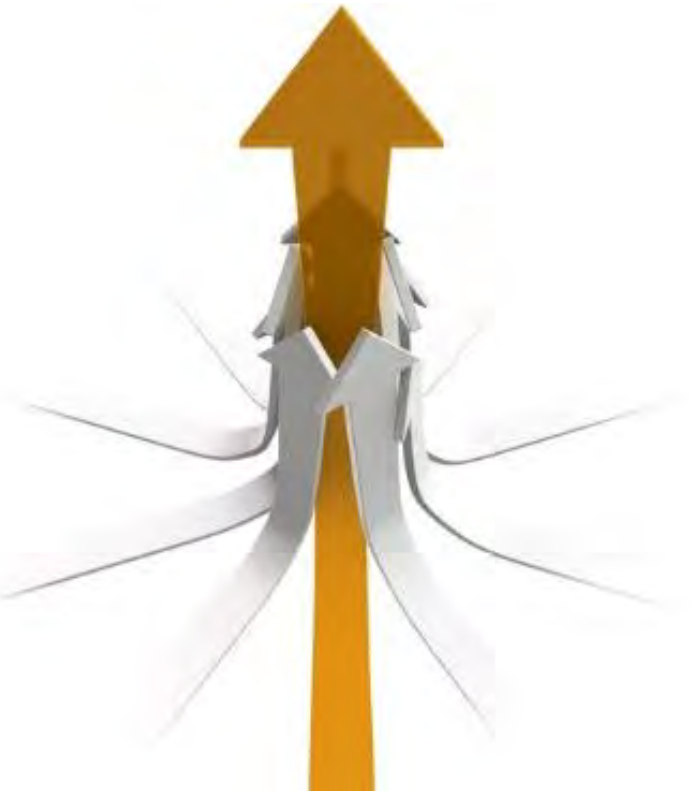
Apply either strategy in segment or niche

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Impact of Business Strategy on HR

HR strategy can influence a primary lever of organizational strategy—employees:

- Talent management
- Workforce planning
- Compensation
- Employee engagement
- Organizational effectiveness
- Diversity and inclusion



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Growth Strategy Options

Each strategy requires different levels of investment and offers different levels of control and return.

- Strategic alliance
- Joint venture
- Equity partnership
- Merger/acquisition
- Franchising
- Licensing
- Contract manufacturing
- Management contract
- Turnkey operation
- Greenfield operation
- Brownfield operation

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HR Involvement in Growth Strategies

- Greenfield operations will require involvement in HR areas of risk analysis, staffing, working with local authorities, and implementing HR policies and procedures in the new operations.
- Policies and procedures may require adjustment to meet local laws, business practices, and culture.
- Even when little integration is required, HR may be asked to audit workplace practices.

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HR's Role in Divestiture Strategy

Identify the candidate.

Perform due diligence, identifying potential risks; participate in SWOT analysis.

Identify a target buyer.

Provide accurate information about the value of the workforce.

Restructure.

Identify and prepare strong leaders.

Design incentive offers.

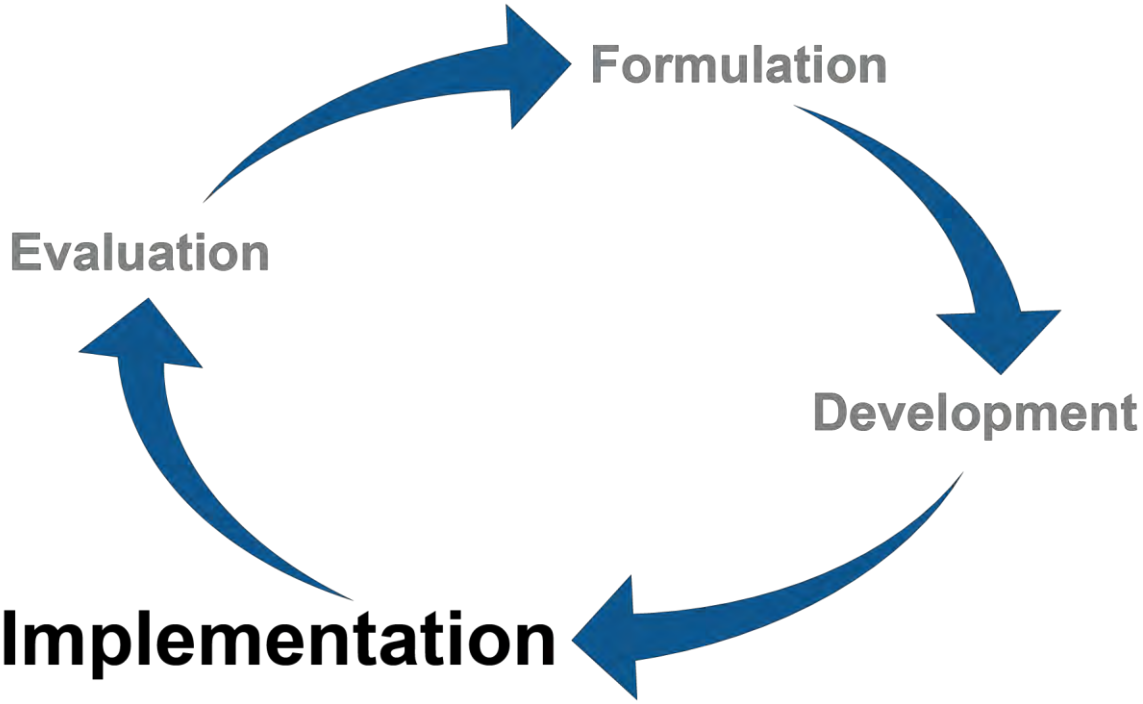
Execute the deal.

Assemble a balanced transition team.

Facilitate the exit of departing employees.

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Implementing Strategy



Translates strategic intent into specific plans of action.

Requires communicating the value of the strategies to all members and effectively managing the implementation of plans.

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Aligning Budgets with Strategies

Operational Budget	Strategic Budget
Funds ongoing activities required to provide HR services to internal customers *Examples:* • Talent acquisition costs • Compensation and benefits	Funds initiatives aligned with strategic goals (line of sight) *Examples:* • Development of mentoring program • Initiative to improve cultural alignment
Many items are variable and affected by organizational and HR strategies.	Initiatives must compete for available resources and are funded according to strategic priorities.

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Communication Strategy

- Communication occurs in different ways and at different levels.

  Examples: Formal communication or team meetings

- The communication plan should include ongoing opportunities for feedback.

Core Elements of Success

- ✓ Outward toward entire team
- ✓ Inward toward leaders
- ✓ Leadership support
- ✓ Free flow of information across organizational boundaries
- ✓ Helping team members see how their work connects to the strategy

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Managing Strategic Initiatives

HR action plans are implemented through normal operations and through specific initiatives managed as time-limited projects.

Multiple phases

Simple or complex deliverables

Large or small budgets

Projects can vary in complexity. Some require dedicated project managers.

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Project Stages

Planning

- Working with stakeholders
- Defining deliverables
- Scheduling (e.g., critical path analysis, Gantt charts)
- Assembling team

Executing

- Communication
- Leadership
- Removing obstacles
- Managing stakeholders
- Monitoring and controlling

Closing

- Assessment and evaluation
- Team debriefing
- Continuous improvement
- Continuous learning

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Specialized Project Management Approaches

Lean

Six Sigma



Agile

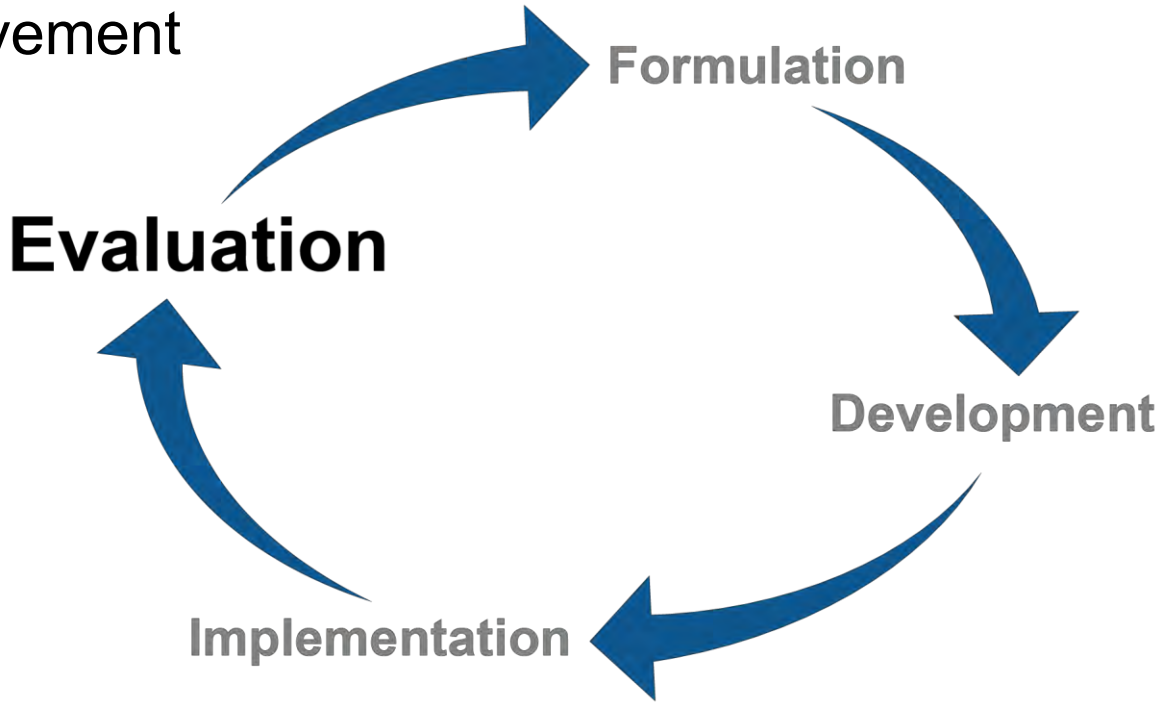
Critical chain

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Evaluating Strategy

Essential for:

- Sound management
- Good governance
- Continuous improvement



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Evaluating Strategic Results

Appears as the final phase of strategic management but is often a factor in the preceding stages.

Requires:

- Developing tools and establishing processes to collect data.
- Analyzing data in an ongoing manner.
- Investigating discrepancies between planned and actual.

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Communicating Strategic Results

- **Create a narrative** that explains results.
- **Visualize** data analysis with tools such as bar charts and Pareto charts, trend diagrams, etc.
- **Acknowledge** disappointments as well as successes.
- **Invite** reactions and feedback.
- **Describe** next steps.



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Discussion

A company currently spends over $1 billion in health-related areas. The company has multiple locations.

The VP of HR has been tasked with:

- Developing a strategy to improve employee health, reduce costs, and limit the company's risks.
- Linking the health-care strategy to corporate strategy.

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Discussion

How should the VP of HR develop a health-care (HC) strategy that will link with the corporate strategy?

A. Benchmark the HC strategy against industry practices.
B. Align the HC strategy with the organization's human capital vision and mission.
C. Focus on developing the most cost-effective HC strategy.
D. Focus on understanding and satisfying senior management's desires.

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Feedback

The correct answer is B. Assuming that the company wants to compete, benchmarking (**A**) can be helpful. But aligning the HC strategy with the organization's human capital vision and mission helps make sure that the strategy fits the corporation's goals for its employees. HR will be able to draw connections for management.

The ultimate strategic goal is not necessarily cost efficiency, nor is it to please management (**C** and **D**).

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Discussion

How should the VP develop the health-care strategy to ensure that it addresses the health needs of the employees?

A. Listen to the water cooler talk from employees.
B. Conduct focus groups with random samples of employees.
C. Survey the entire workforce about health needs.
D. Evaluate the data from the annual report on the employee assistance program.

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Feedback

The correct answer is C. Focus groups (**B**) would be good, especially as follow-up to a larger survey. But surveying the entire workforce about health needs first provides more and better-quality data from a larger sample. This will also create better employee engagement in the process.

The other incorrect answers (**A** and **D**) provide limited and biased data.

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Discussion

What can HR do to ensure that the new health-care strategy is understood and the benefit is used effectively by all employees?

A. Develop and mail health-care brochures to each employee's home.
B. Send a mass e-mail to all employees about the new health-care system.
C. Conduct a health fair at each location and present the new benefit.
D. At each location, introduce providers and lead Q&A sessions with all employees.

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Feedback

The correct answer is D. Conducting a health fair at each location (**C**) would get employees involved in their health issues and deliver information about the new benefit. However, introducing providers at each location and leading Q&A sessions with all employees gives employees information directly and interactively and allows them to question providers.

The other incorrect answers (**A** and **B**) are passive and rely on employees reading information.

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Functional Area #2: Talent Acquisition

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Staffing

Attempts to provide an adequate supply of qualified individuals to complete the body of work necessary for the organization's financial success

- Acts on the organizational human capital needs identified through workforce planning
- Anticipates organizational staffing needs and balances those needs with actual talent supplies

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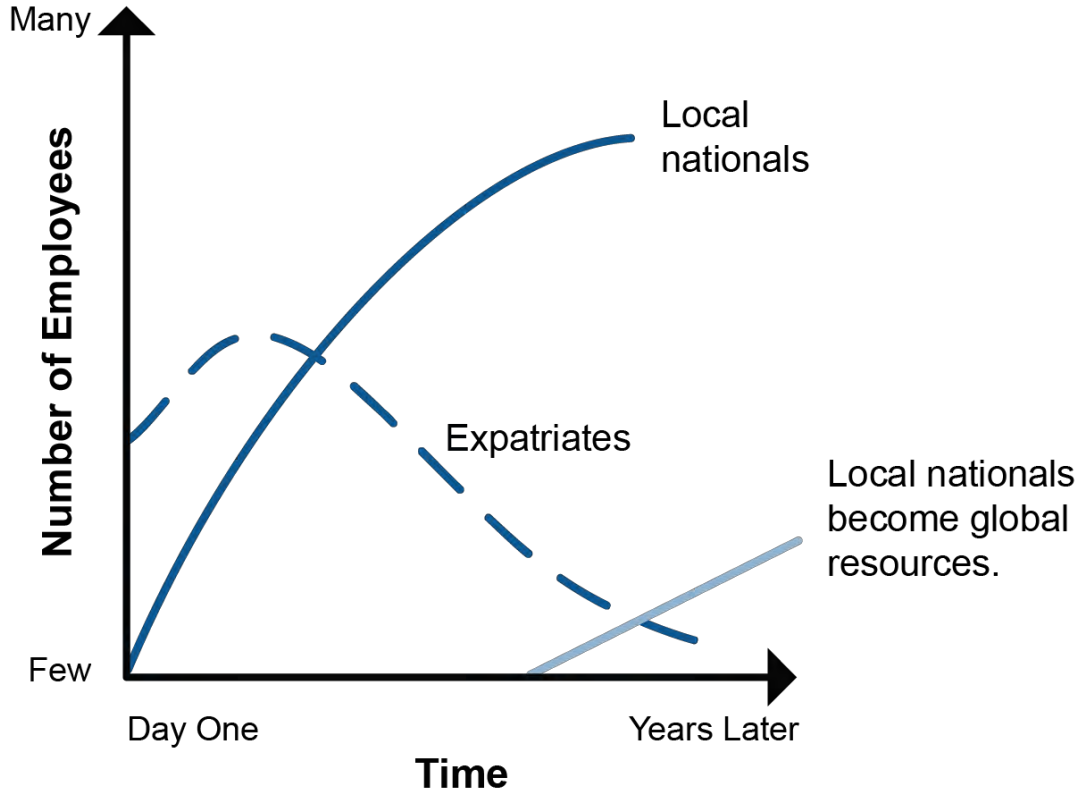
Effect of Growth Strategies

Type	Implications
Merger/acquisition	New resources for talent Retention of talent
Joint venture	Contributions of how much and what type of talent from each partner
Greenfield operation	All new staff Effects of local laws and labor markets
Strategic alliance	Staffing requirements if new venture is formed

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Staffing Patterns in Global Organizations

Initial staffing may rely on assignees. Gradually they are replaced by local nationals. Eventually the local nationals become global assignees themselves.



Based on Calvin Reynolds

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Employment Branding

Positions the organization as an “employer of choice” in the labor market

- Creates a positive, compelling image of the organization
- Provides a clear and consistent message about what it is like to work at the organization
- Encourages the best potential candidates to apply
- Reinforces the public’s image of the organization

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Employee Value Proposition

- The foundation of employment branding
- A magnet to the organization's employment brand
- Aligned with the organizational strategic plan, vision, mission, and values
- An image that answers the questions why top talent:
  - Would want to start working for this organization
  - Would want to stay working for this organization

Must accurately reflect the work environment and be congruent with the external brand

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Employment Branding Tools

Collateral materials	Fairs and community events	Social media	Dialogue with employees
Word of mouth (employees and candidates)		Website	
Marketing campaigns and media ads			

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Building an Employment Brand

How are we perceived now?

Who is our competition for high-quality employees?

What are the strengths and weaknesses of our brand?

What value and benefits shall we communicate?

Is our brand consistent across all audiences?



Test the brand.

Execute the brand.

Reassess and revitalize the brand periodically.

Promote the brand continuously.

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Best Practices for Employment Branding

- Brand pillar identification
- Achievement of work environment awards
- Personalized channels for external audiences

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Common Elements of Job Descriptions

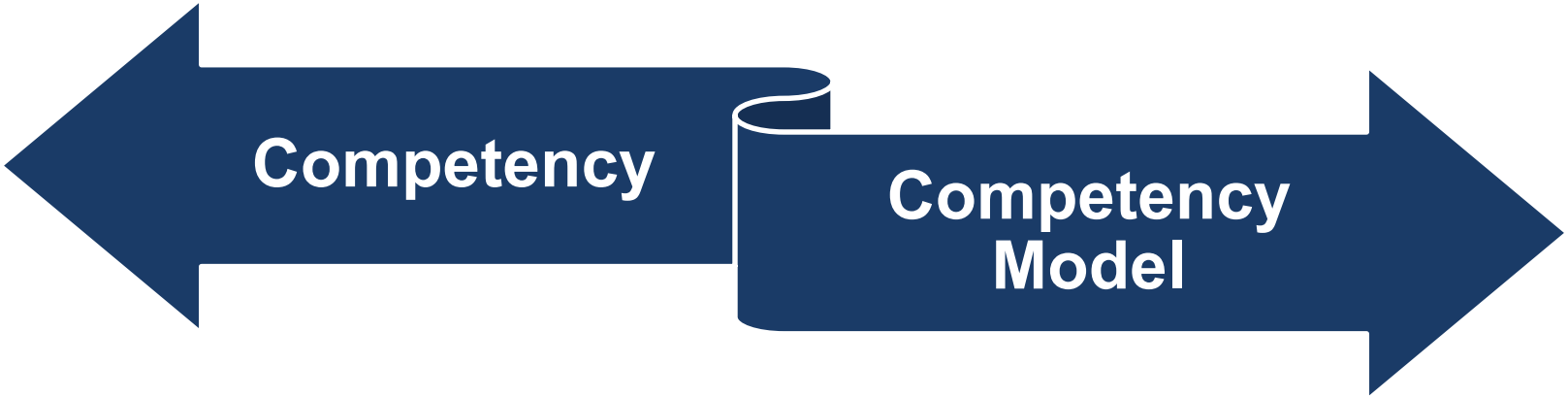
Written description of a job and its requirements, including tasks, knowledge, skills, abilities, responsibilities, and reporting structure

Common Elements

- Job identification
- Position summary
- Minimum qualifications
- Duties and responsibilities
- Success factors
- Physical demands
- Working conditions
- Performance standards

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Job Competencies and Models



A cluster of highly interrelated attributes, including knowledge, skills, and abilities, that give rise to the behaviors needed to perform a given job effectively

A set of competencies defining the requirements for effective performance in a specific job, profession, or organization (e.g., the SHRM BoCK™)

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Variations in Job Descriptions

Job description components may vary by organization and by job market. Some variations include:

- **Essential functions** (i.e., primary job duties individual must be able to perform with or without reasonable accommodation).
- **Nonessential functions** (i.e., desirable but not necessary).
- **Sign-off** (documentation of employee understanding of job description).
- **Disclaimers** (e.g., organization's right to change responsibilities and tasks as needed by employer).

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Global Job Descriptions

Uses

- Intracountry and cross-border transfers
- Career management and succession planning
- Compensation studies
- Statistics for job types across organization
- Comparison and alignment of business processes across countries

Challenges

- Lack of global competency model
- Country variations
  - Interpretations of job functions
  - Expectations for similar jobs
  - Approaches to on-the job development
  - Work environments
  - Compliance requirements
  - BFOQs

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Job Specifications

Describe the minimum qualifications necessary to perform a job.

Include experience, education, training, licenses and certification (if required), mental abilities and physical skills, level or organizational responsibilities.

Should reflect what is necessary for satisfactory performance, not what the ideal candidate should have.

The role they play in the legal and regulatory environment can vary from one country to another.

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Writing Job Descriptions and Specifications

- ✓ Give jobs realistic and descriptive titles.
- ✓ Keep the summary short (no more than four or five sentences).
- ✓ List only the most important duties, tasks, or responsibilities.
- ✓ Identify the essential job duties and responsibilities.
- ✓ Review the KSAs to be sure they are job-related.
- ✓ Secure approvals and dates.
- ✓ Include any appropriate disclaimers.

Jobs change and necessitate regular reviews and updates.

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Sourcing and Recruiting

- Sourcing: generates a pool of qualified applicants
- Recruitment: encourages candidates to apply

Internal

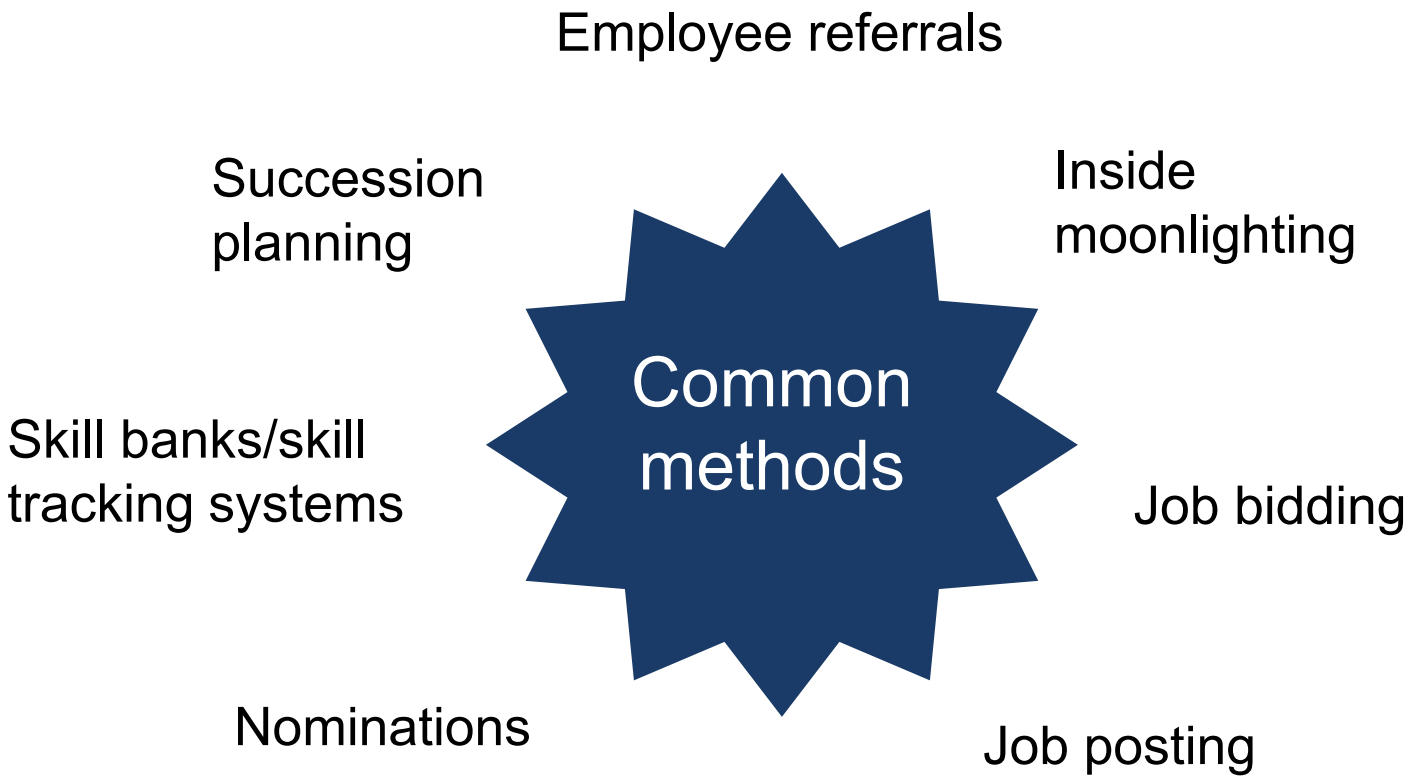
- Identifies candidates within domestic or global operations
- Typically uses internal postings and succession planning

External

- Finds candidates through a variety of sources outside the organization
- Talent shortages and globalization force organizations to cast a “wide net”

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Internal Recruiting Methods



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External Recruiting Methods



Trade and professional organizations

Temporary agencies

Referrals

Personal networking

Outplacement services

Open houses

Online social networks and blogs

Intraregion recruiting

Internships

Advertising (print and nonprint)

Agencies (third-party recruiters)

Community awareness

Contract agencies

Educational institutions

Employer websites

Former employees

Geofencing

Government agencies

HR associations

International job boards (bulletin boards)

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E-Recruitment

Advantages

- Widens recruitment sourcing (e.g., active and passive candidates)
- Provides almost immediate response
- Increases applicant pool
- Facilitates better candidate matching
- Supports realistic job previewing
- Supports targeting specialized skills and particular lifestyle or culture-fit groups

Disadvantages

- High volume of responses, many from unqualified candidates
- May require labor-intensive and costly filtering processes
- May be restricted by data privacy regulations
- May exclude qualified candidates
  - Who would rather send a résumé
  - Who do not have access to the technology

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Social Media in Recruiting

Advantages

- Low-cost organizational publicity
- Posting of vacancies
- Branding
- Targeting geographically diverse talent
- Employment screening
- Reduced recruiting costs and time to fill
- Engagement of passive job candidates

Disadvantages

- Potential inaccuracy of information learned about candidates
- Legal risks associated with what employer learns about prospective candidates and how information is used or managed

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Recruiting Effectiveness

- Be proactive.
- Brand.
- Use realistic profiles.
- Automate.
- Innovate.
- Interact.
- Promote.
- Adapt.
- Champion diversity.
- Be judicious.
- Be vigilant.

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HR Metrics: Workforce Reporting

Head count	Indicates the number of people on the organization's payroll at a particular time.
	Calculating average head count over a year provides a representation of the average number of employees the organization requires.
Groups and subgroups	Divides and subdivides employees into categories (e.g., executive, manager, staff, trainees, contractor, status).
	Knowing composition of the workforce helps planning for diversity and operational requirements.
Demographics	Provides basic statistics and characteristics about employee groups (e.g., age, occupation, income).
	Demographic trends provide important metrics for HR planning and forecasting.

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HR Metrics: Cost per Hire

$$\text{Cost per hire (CPH)} = \left[\frac{\sum(\text{External costs}) + \sum(\text{Internal costs})}{\text{Total number of hires in a time period}} \right]$$

- SHRM standard that addresses problems with variability in the traditional cost-of-hire measure (total costs divided by number of new hires)
- Differentiates between internal and comparable CPH metrics:
  - Cost per hire, internal (CPHI)
  - Cost per hire, comparable (CPHC)

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HR Metrics: Recruitment Cost and Yield Ratios

Recruitment cost ratio (RCR)

$$\frac{\text{External costs + Internal costs}}{\text{Total first-year compensation of hires in a time period}} \times 100 \qquad \frac{\$200{,}000}{\$2{,}000{,}000} \times 100 = 10\%$$

Yield ratios

$$\frac{\text{Qualified applicants}}{\text{Total applicants}} \quad \frac{100}{300} = 33\%$$

$$\frac{\text{Minority applicants}}{\text{Total applicants}} \quad \frac{80}{300} = 27\%$$

$$\frac{\text{Female applicants}}{\text{Total applicants}} \quad \frac{185}{300} = 62\%$$

$$\frac{\text{Offers extended}}{\text{Qualified applicants}} \quad \frac{5}{15} = 33\%$$

$$\frac{\text{Offers extended}}{\text{Final interviews}} \quad \frac{5}{10} = 50\%$$

$$\frac{\text{Offers accepted}}{\text{Offers extended}} \quad \frac{3}{5} = 60\%$$

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HR Metrics: Days to Fill

Number of days from opening of job requisition to acceptance of offer

- Helps HR determine a realistic amount of time for hiring new employees
- Helps managers plan how to best redistribute work
- Supports resource and budget planning

Emphasizing speed may **increase recruitment costs** and **decrease quality of hire.**

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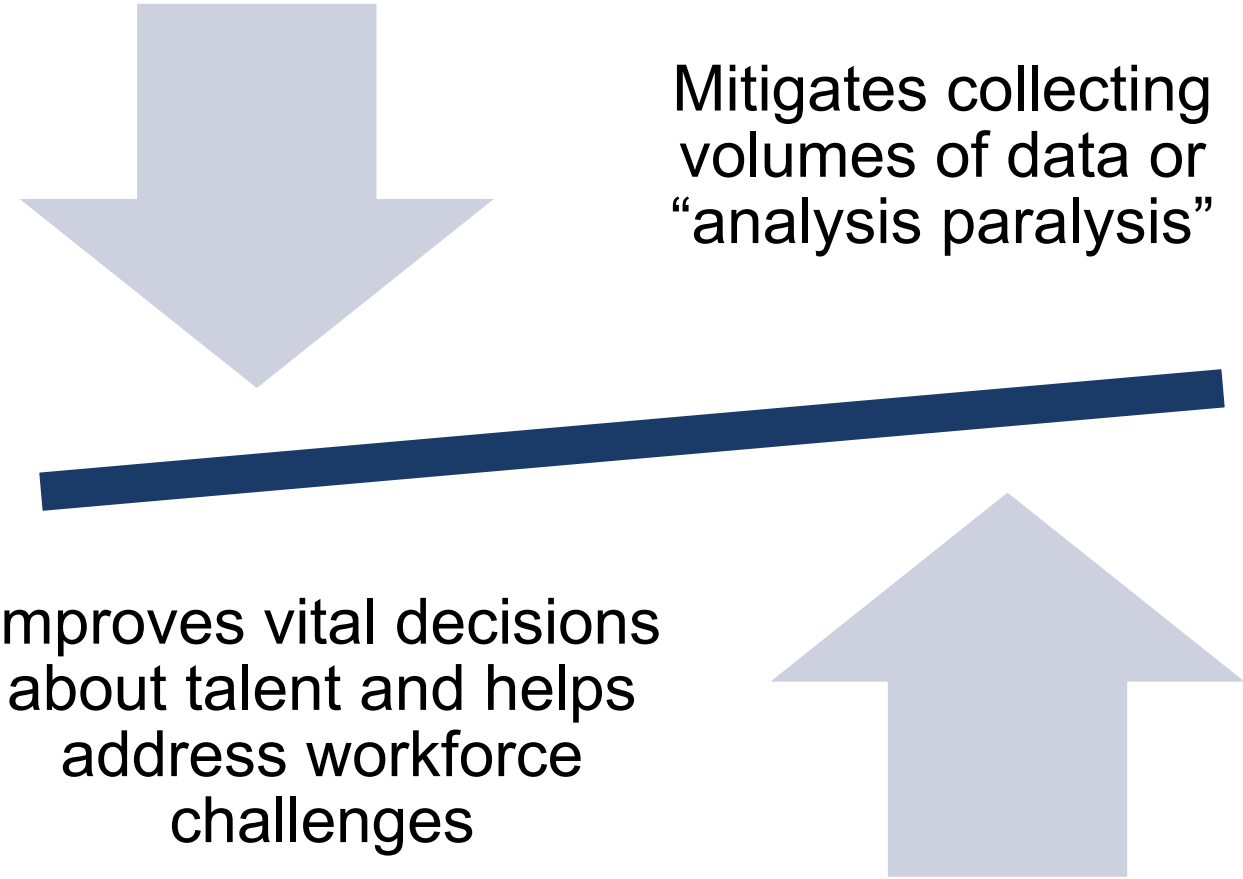
HR Metrics: Attrition

- Loss of employees for reasons other than firing and other employer-initiated events
- Implies that an employer has no direct control over how many personnel are lost to employee attrition

It is important to understand why employees leave, not just the fact that they leave.

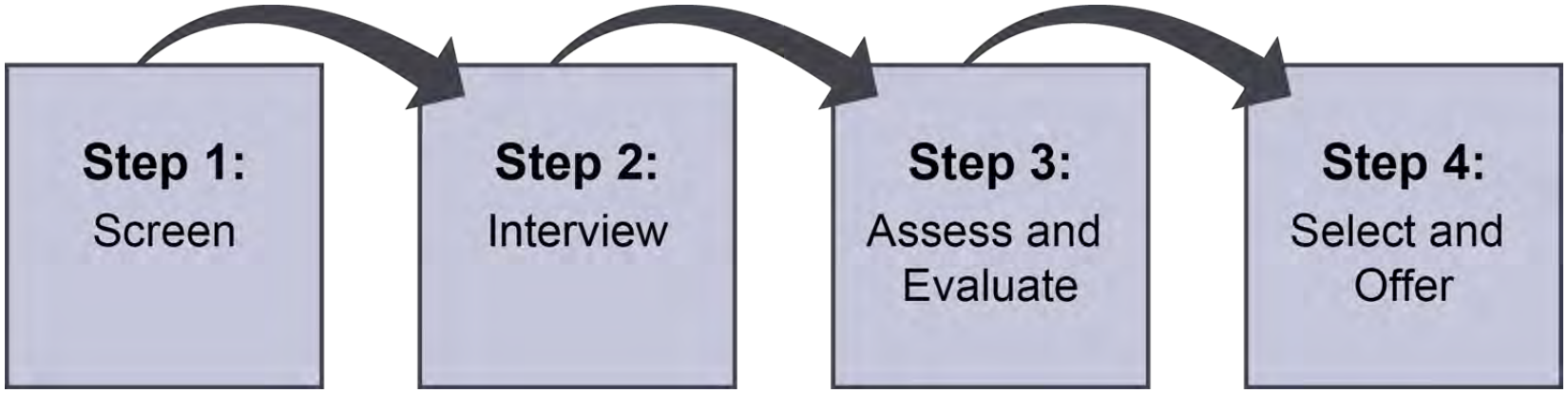
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Workforce Analytics



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Selection Process



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Step 1: Screen

Selection screening involves analyzing the candidates' application forms, curricula vitae, and résumés to locate the most-qualified candidates for an open job.

- Identifies applicants who fit minimum selection criteria
- Provides a source of questions for subsequent interviews
- Provides information for reference checks
- Helps to ensure that managers or other internal stakeholders spend time interviewing only qualified candidates

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Applicant Tracking Software (ATS)

Provides an automated way for organizations to manage the entire recruiting process, from receiving applications to hiring employees

- Greatly reduces the time spent reviewing documents
- Tracks where candidates found a job posting
- Helps build a database for use with future vacancies

May be mandatory for regulatory compliance

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Curricula Vitae (CVs) and Résumés

- Both provide an overview of a person's experience and other qualifications.
- Are country- and culture-specific.

CV	Fairly detailed overview of a candidate's accomplishments, especially those relevant in academia or research
Résumé	Typically a more concise and general introduction to a candidate's experiences and skills; modified for each position a candidate applies for

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Warning Signs in Application Forms, CVs, and Résumés

- Overqualified or underqualified
- Attempts to hide employment gaps
- Excessive “filler information”
- Messy, poorly organized, or incomplete
- Too much self-promotion (versus team credit)
- Vague terms
- Inconsistent career path

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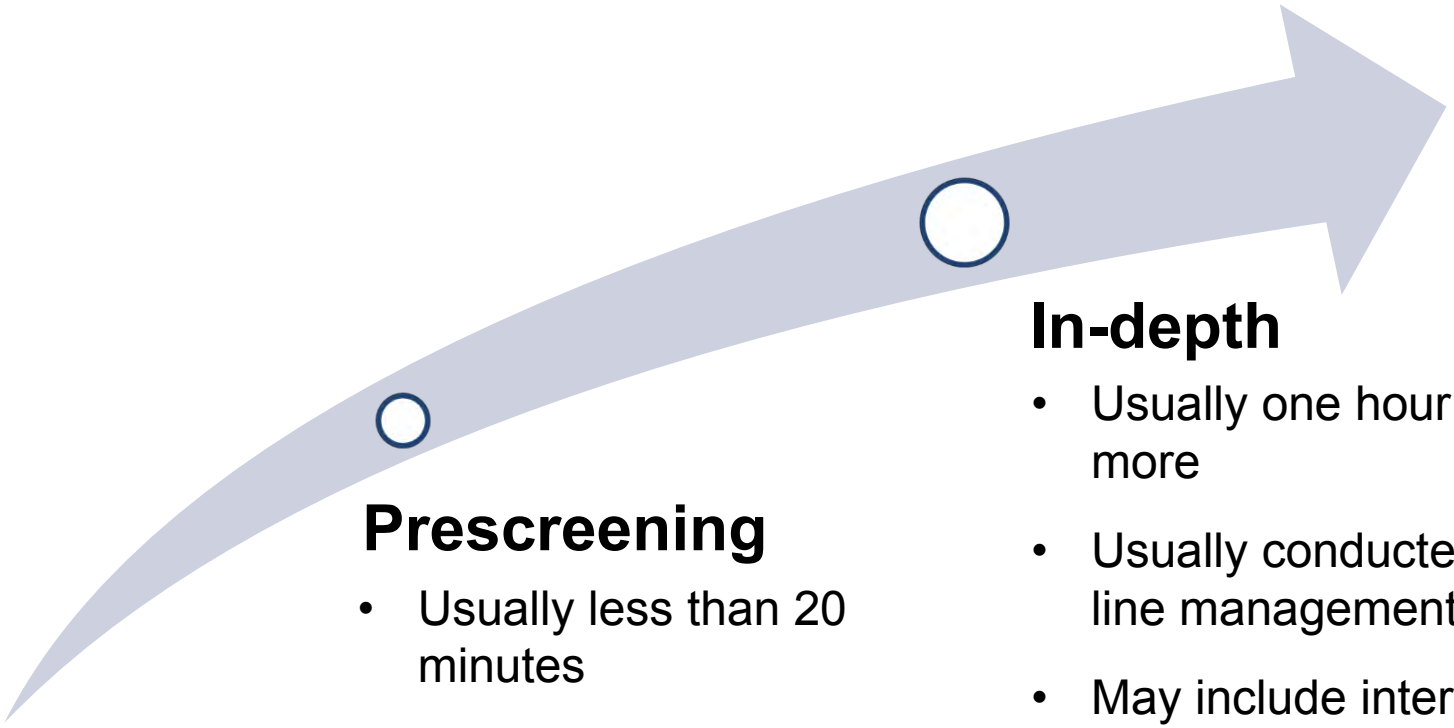
Step 2: Interview

Selection interviews are designed to probe areas of interest to the interviewer in order to determine how well the candidate meets the needs of the organization.

- Ask the candidate a series of questions
- Qualify candidates more than any other procedure in the selection process
- Require that interviewers are properly trained

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Interviews



Prescreening

- Usually less than 20 minutes
- Usually conducted by HR
- Useful for high volume of applicants

In-depth

- Usually one hour or more
- Usually conducted by line management
- May include interviews conducted by potential colleagues

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Interviews

Structured	Every candidate is asked same questions.	• Repetitive interview
Unstructured	Process is more conversational, building on candidate's responses.	• Non-directive interview
Behavioral	Focus is on how candidate handled past situations and on pointed questions about minimum qualifications.	• "Give me an example…" • "Describe a situation…" • "Tell me how you handled…"

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Interviews

Competency-based	Candidates are asked to illustrate how they demonstrated needed KSAs in past.	• "How did you manage this situation?" • "What did you do when X happened?"
Group	Multiple candidates are interviewed at the same time. Each candidate is interviewed by multiple people.	• Fishbowl interviews • Team interviews • Panel interviews
Stress	Interviewer puts the applicant under some degree of stress.	• Interviewer attitude • Puzzles • Case interviews and simulations

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Interview Guidelines

Before

- Become familiar with the position's duties and requirements.
- Be prepared to answer general questions about the organization.
- Formulate your questions.
- Organize the questions (e.g., in the order to be asked).
- Review the candidate's application, CV, and/or résumé.

During

- Establish rapport.
- Listen carefully.
- Make smooth transitions from one topic to another.
- Observe nonverbal behavior.
- Take notes.
- Conclude the interview.

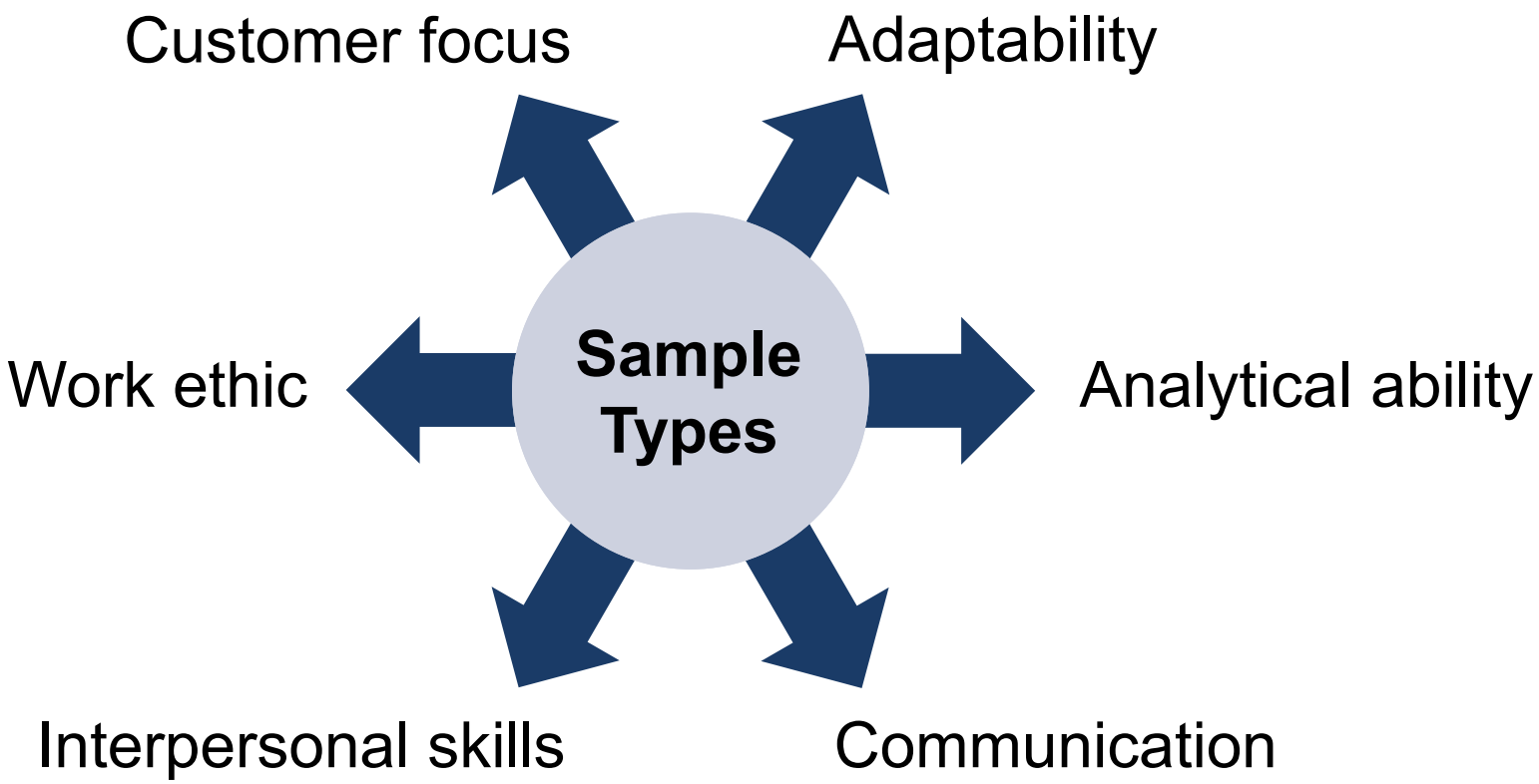
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Effective Questioning Techniques

- ✓ Turn each desired skill set or job characteristic into a series of open-ended questions.
- ✓ Facilitate the candidates' sharing of their experience and expertise through their responses.
- ✓ Ask questions that lead a candidate to:
  - Describe, in detail, his or her technical expertise.
  - Discuss core competencies.
  - Demonstrate problem-solving behavior, learning and communication style, and other necessary attributes.

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Interview Question Focus



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Step 3: Assess and Evaluate

Goal of assessment is to determine if candidate has potential to be successful in job.

Aim for transparent decisions based on fact.



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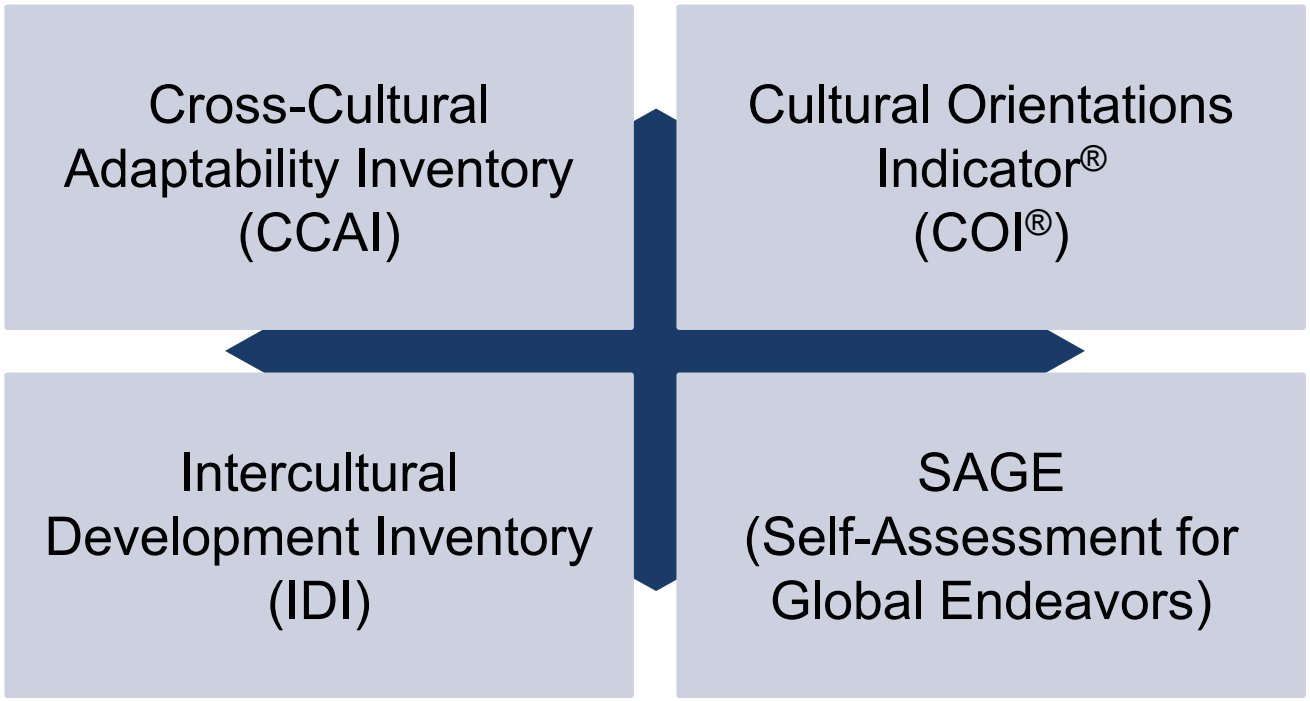
Assessment Methods

Assessment methods help to identify applicant knowledge and skills that cannot be determined through interviews.

Substantive (Pre-Employment) Assessments	Discretionary Assessments	Contingent Assessments
• Cognitive ability tests • Personality tests • Aptitude tests • Psychomotor tests • Assessment centers	• Methods sometimes used to separate finalists who receive job offers	• Drug tests • Medical exams

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Examples of Cultural Assessment Tools



© SHRM

Selection Equity and Cost-Effectiveness

Equity	• Has the organization been successful in identifying and selecting a diverse, multifaceted workforce? • Do job applicants view the process and decisions as fair?
Cost-Effectiveness	• Do the costs of assessment and the entire selection program correlate with productive and successful hires?

© SHRM

Background Investigations and Reference Checks

Background investigations

- Authenticate information (e.g., education and work history) supplied by a job applicant
- Usually improve hiring decisions

Reference checks

- Verify previous employment and provide information about the applicant's aptitude and character
- Involve contacting the applicant's former employers, learning institutions, and personal references

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Step 4: Select and Offer

Last step in the selection process

Brings everything together to complete candidate evaluations.

Should document results and be systematic.

Ideally, the selection process yields a pool of qualified candidates (not just one).

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Decision Process

Organize/summarize information in terms of selection criteria.

Identify and rank acceptable candidates.

Collect additional information as necessary.

Make an offer to the top candidate.

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Job Offers

Contingent Job Offer

- Job offer that is contingent on candidate passing certain tests or meeting certain requirements

Employment Offer

- Oral/written communication that formally offers applicant job
- Generally not legally binding

Employment Contract

- Written agreement between organization and employee that explains employment relationship
- Confers legal obligations

Nonselected candidates for an open position should be notified promptly.

© SHRM

Engagement in Talent Acquisition

Based on Brilliant Ink survey data

- Make the job hunt simple, seamless, and informative.
- Create accurate first impressions.
- Make the first day count.
- Give employees a structured onboarding experience.
- Provide a “buddy.”
- Show employees a path to success.

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Orientation and Onboarding

Orientation

- Helps employees (new or rehired) become familiar with organization, department, coworkers, and job.
- Generally lasts one to two days.
- Helps employee develop realistic image of organization and/or job.

Onboarding

- Encompasses orientation as well as first months of employee's tenure.
- Helps employees develop positive working relationships with their supervisor, coworkers, and others.
- May be informal or formal.

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Discussion

A company has a rigorous drug use and criminal conduct screening process for all job applicants. The drug test is a straightforward pass/fail screen. HR is the only party involved who has access to more details about the results.

A hiring manager comes to HR wanting more details about a candidate disqualified on the drug screen. The manager asks, “Was it just marijuana?”

© SHRM

Discussion

- What are the main issues raised by this scenario?
- How would you handle this?
- What HR competencies would be useful here?

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Discussion

In another application, a criminal background report indicates that six years ago a candidate was convicted of driving while intoxicated (DWI), and her driving license was revoked for six months. Driving is not part of the duties for this job position. The hiring manager is new to the company, and this is his first hire. He feels very invested in this choice. He calls HR to check on the applicant's progress.

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Discussion

- As an HR professional, what are your main responsibilities in this situation?
- How would you handle this?
- What HR competencies would be useful here?

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Functional Area #3: Employee Engagement and Retention

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Employee Engagement

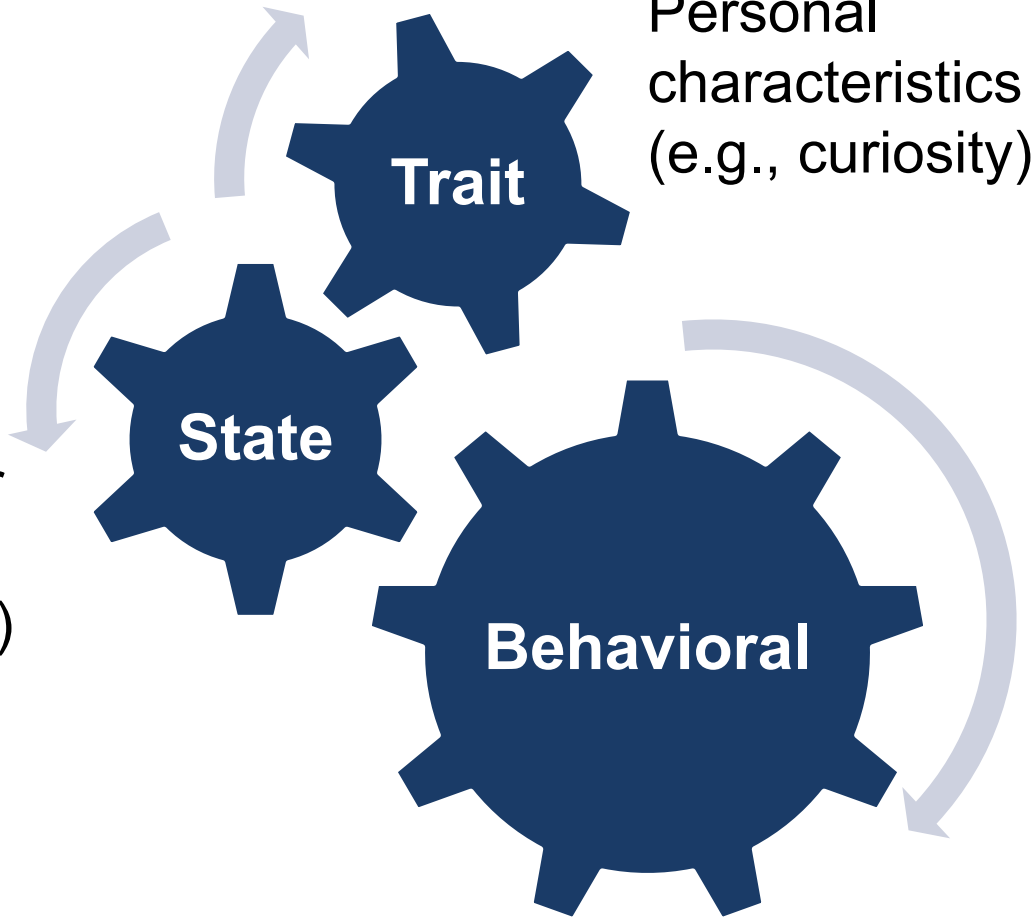
Embodies broader concept than employee satisfaction, commitment, and morale

Involves employee behaviors that positively influence individual- and business-level performance

Characterized by a desire to stay with the organization in the future and willingness to "go the extra mile"

© SHRM

Facets of Employee Engagement



Personal characteristics (e.g., curiosity)

Workplace conditions or practices (e.g., variety)

Effort invested (e.g., high performance)

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Employee Engagement Benefits

Gallup analysis of data from 230 organizations showed a correlation between employee engagement and business results.

- Customer ratings
- Profitability
- Productivity
- Turnover
- Safety incidents
- Shrinkage (thefts)
- Absenteeism
- Quality (defects)

© SHRM

Common Engagement Drivers

- Satisfying work and job opportunities
- Confidence and trust in leaders
- Recognition and rewards
- Timely and orderly communication

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Other Engagement Drivers

Work experience drivers

- Engaging leadership
- Talent focus
- The work (e.g., empowerment, work/life balance)
- The basics (e.g., job security, safety)
- Agility (e.g., collaboration, customer focus)

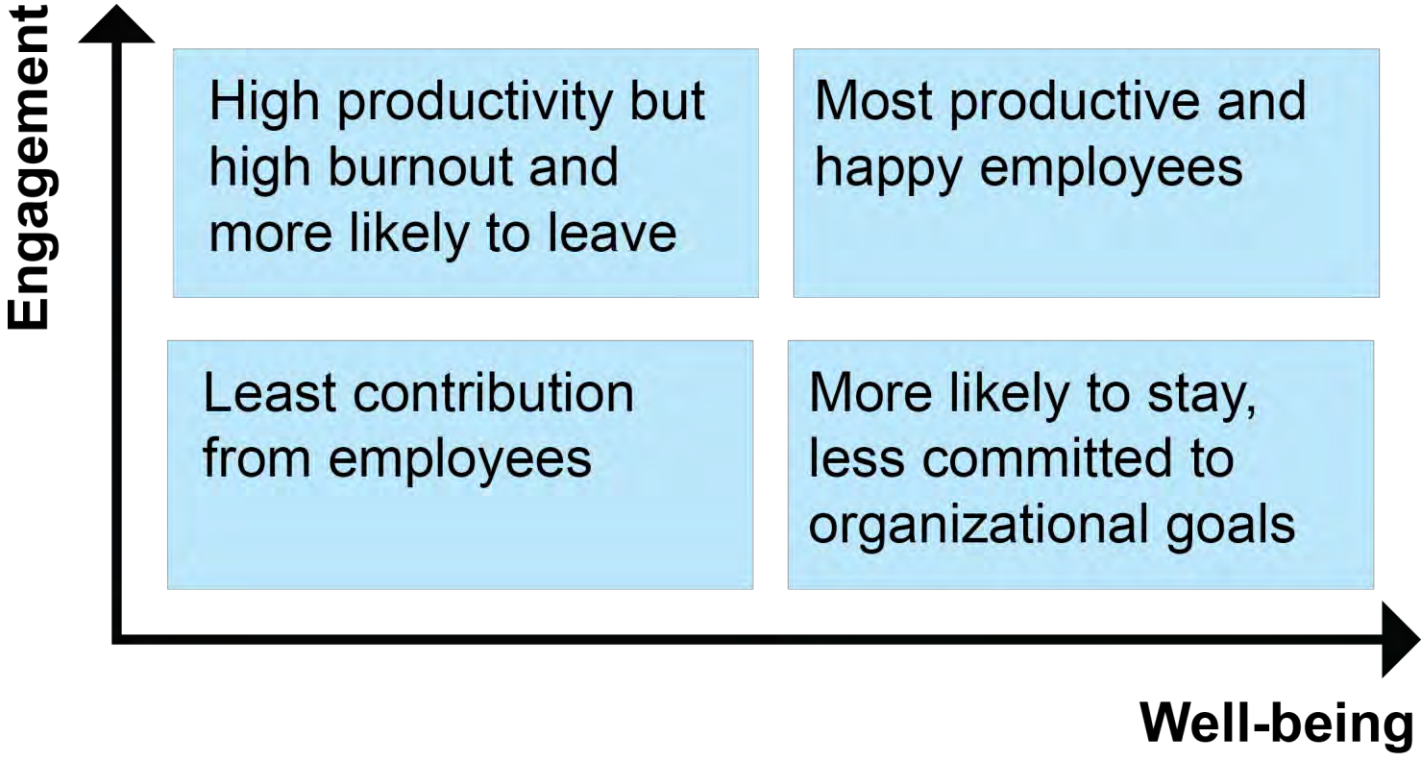
Engagement outcomes

- Say
- Stay
- Strive

Based on Aon Hewitt data

© SHRM

Employee Engagement and Well-Being*



* Based on Towers Watson data

© SHRM

Types of Organizational Cultures

- Authoritarian
- Mechanistic
- Participative
- Learning
- High-performance

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Role of Culture in Engagement

- What organizational culture have we created?
- Is this culture helping us achieve our strategic goals?
- How can our culture be expressed in a way that increases employee engagement?

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Management and Employee Engagement

HR needs to support manager behavior that:

- Reflects concern for employees' professional and personal well-being.
- Expresses gratitude for contributions.
- Amplifies employees' accomplishments.
- Values communication and emphasizes positive feedback.

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Challenges to Engagement

- Global competition
- Economic conditions
- Continuous innovation
- New technology

External stressors

Difficulty maintaining work/life boundaries

- Mobile workplaces
- 24/7 contact

Internal stressors

Decreased employee engagement

HR needs to make the business case for investing in employee engagement.

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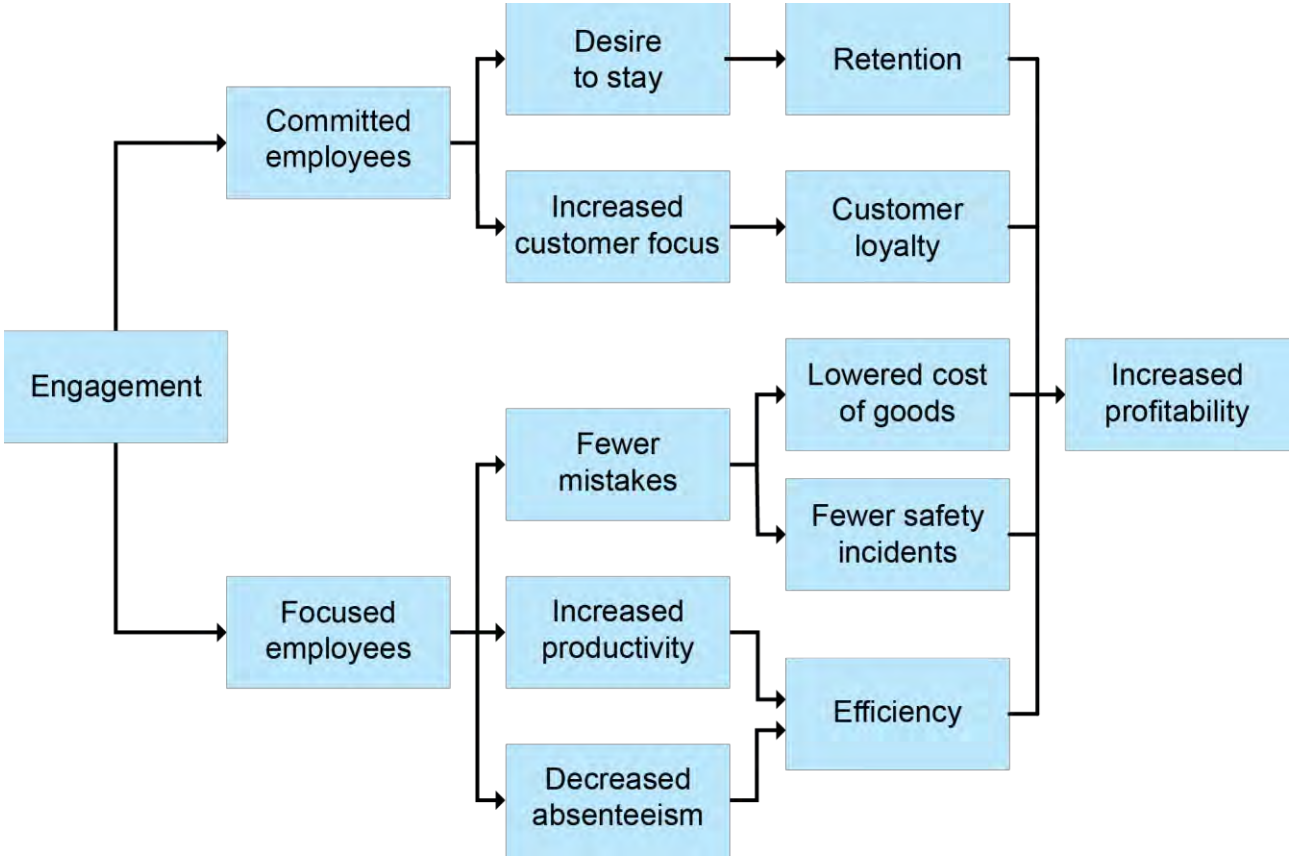
Engagement Strategies

- Commit long-term.
- Measure consistently.
- Connect engagement to business results.
- Seek employee input.
- Gain leadership support.

© SHRM

Business Case

Connect engagement with drivers of organization's strategic goals.



© SHRM

Retention

The ability to keep talented employees in the organization

- Involves strategic actions to keep high performers motivated and focused
- Preserves and develops an organization's human capital
- Reduces voluntary turnover costs

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Retention Drivers

Why are high performers more likely to stay?

- They believe they are doing meaningful work.
- They are recognized for going above and beyond.
- The organization provides tools/ resources needed to succeed in job.
- Performance management systems are fair, consistent, and transparent.
- The organization offers appealing incentives and perks.

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Retention Practices and Strategies

- Organization's good reputation in community and with employees
- Good matches of skills and culture
- Competitive compensation and benefits

The imperative for an organization is to sustain and increase an employee's engagement.



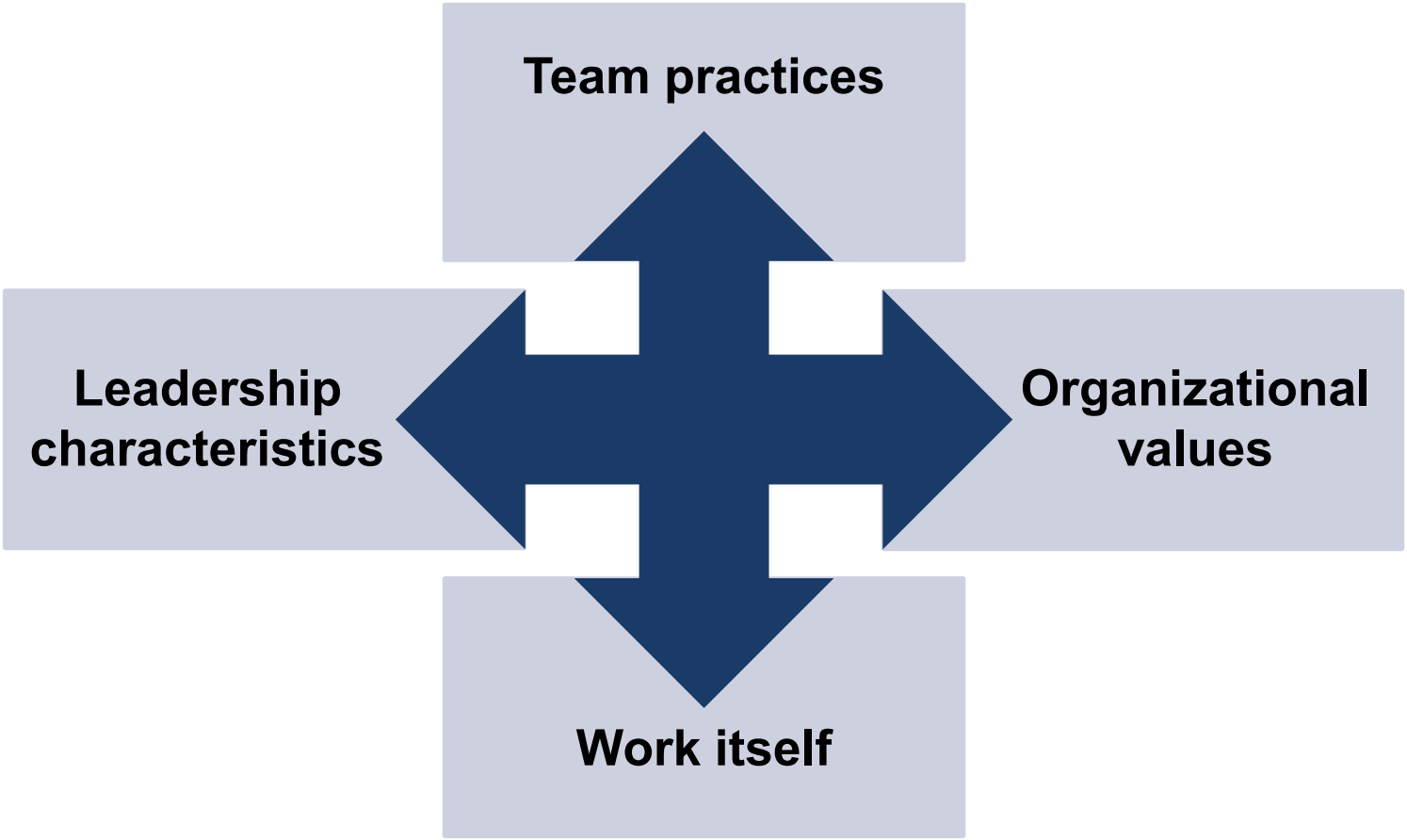
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Improving Employee Retention

✓	Treat retention of key employees as a proactive, strategic part of talent management.
✓	Know what motivates each segment of the workforce.
✓	Conduct ongoing research to monitor motivation and workforce trends.
✓	Develop a deep understanding of the reasons employees want to stay or leave.
✓	Link the ability to retain and develop high-value talent to managers' performance evaluations; reward appropriately.
✓	Keep employees informed about the organization.
✓	Monitor retention and turnover rates.
✓	Work to align systems, departments, processes, and procedures to improve retention.

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Key Engagement Areas to Explore



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Engagement Topics

Career development	• Opportunities for advancement • Access to and support for learning and development
Relationship with management	• Communication with management • Autonomy • Recognition
Compensation and benefits	• Competitive wages and benefits • Work/life balance programs
Work environment	• Job-strategy connection • Organizational culture • Relationships with coworkers

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Employee Surveys

Types

- Attitude
- Opinion
- Engagement

Purpose

Collect and assess employee perceptions about the work environment

Benefits

Numerous if properly designed and administered and results are communicated and visibly acted upon

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Survey Development Principles

- Prepare employees; communicate the purpose.
- Survey significant areas.
- Guarantee confidentiality and anonymity.
- Provide timely and actionable feedback on the results.

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Determining Actions from Survey Results

- Identify drivers of engagement with each survey.
- Identify which engagement drivers can be realistically addressed.
- Make action plans realistic and measurable.
- Track and communicate efforts and results.

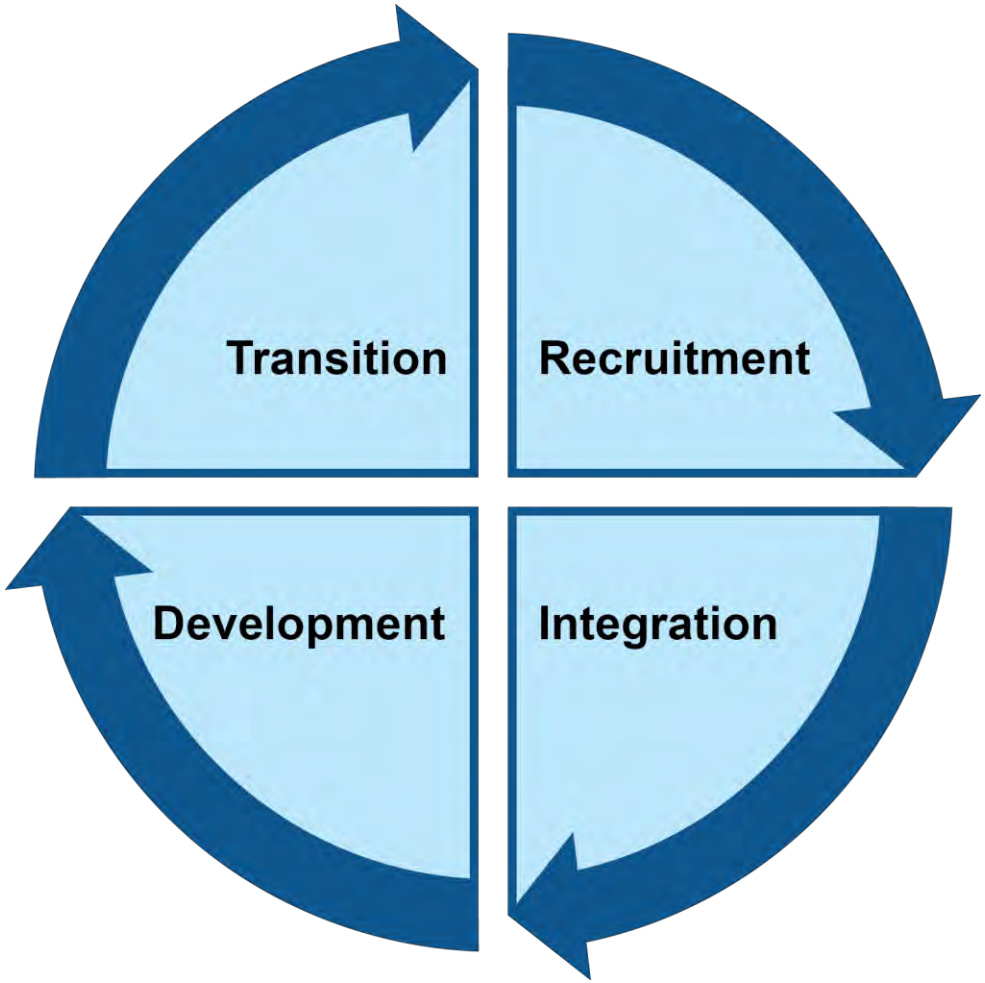
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Online Surveys

Advantages	Disadvantages
• Higher response rates • Improved responses to open-ended questions • Quicker results • Immediate status of survey progress • No interviewer bias • Ease and flexibility of aggregation and analysis	• Requires computer access • Requires e-mail contacts • Need for pilot testing • Space limitations that discourage extended open-ended answers • Virus-checking software • Need to secure data

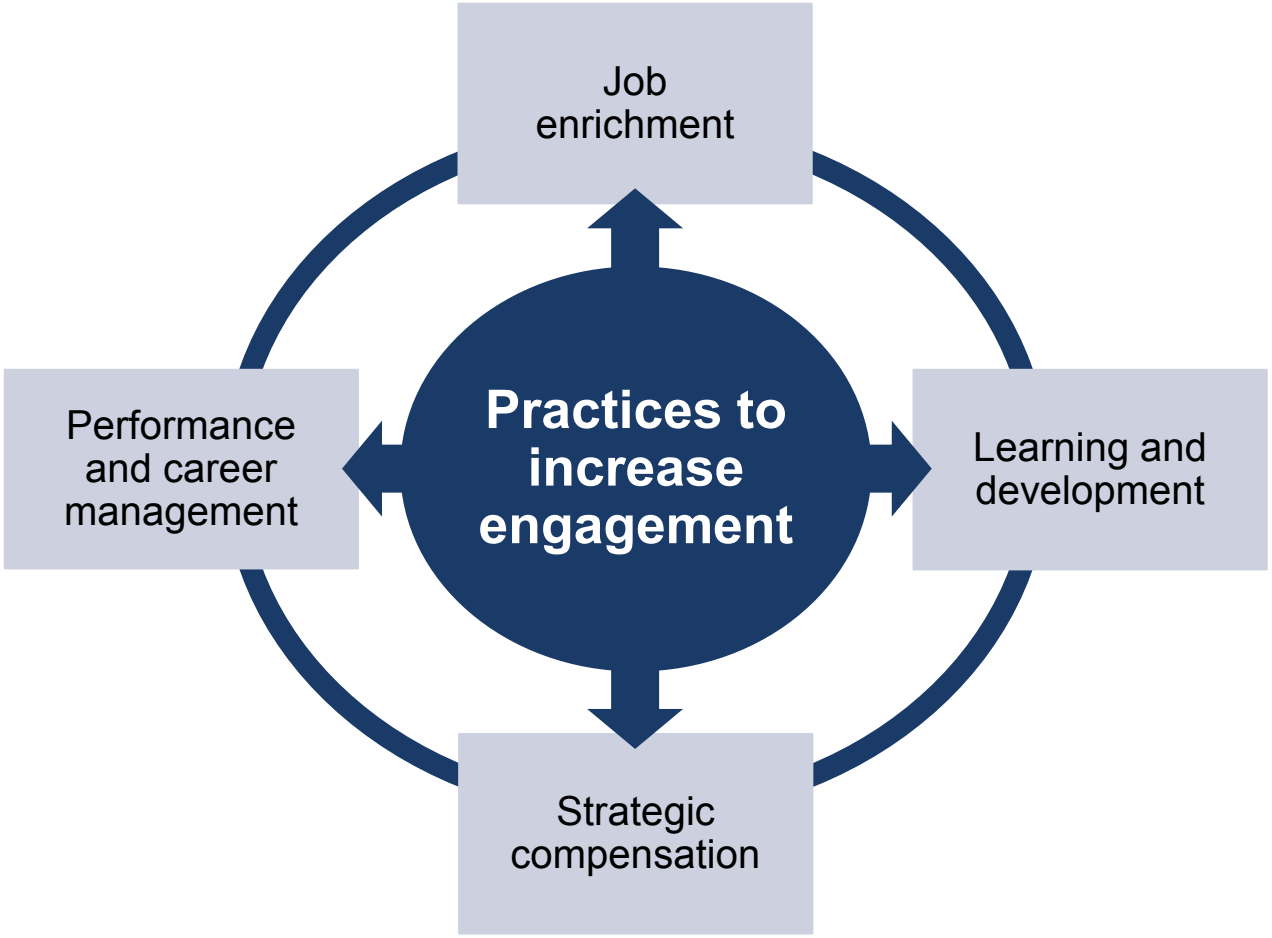
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Employee Life Cycle (ELC) Phases



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Keep Employees Engaged



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Realistic Job Previews

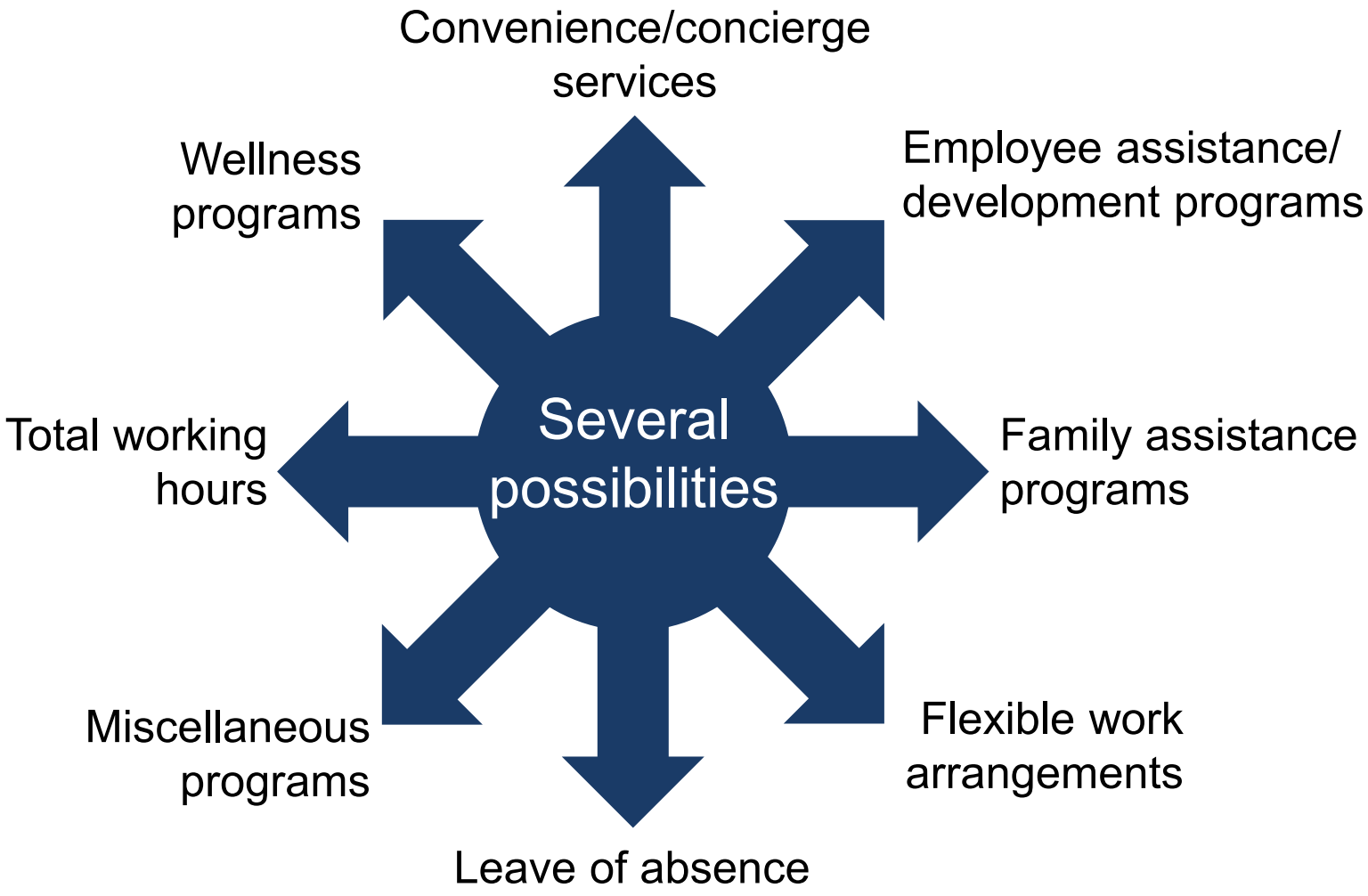
- Help a candidate make an informed decision
- Allow the organization to objectively portray the job
- Increase the potential of a good match

Examples:

  - Videos about the organization and its brand
  - Tours of the workplace (virtual or walk-throughs)
  - Interviews with future coworkers
  - Job-related videos
  - Simulations that replicate working conditions

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Work/Life Balance Programs



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Rewards and Recognition

- Tied to strategic goals and organizational values
- In a form meaningful to individual recipient
- Use positive and negative reinforcement of desired behavior (Skinner's behaviorist school)
  - Positive: adding something desired
  - Negative: removing something not desired

Financial

- Bonuses
- Prizes

Nonfinancial

- Public or private recognition
- Opportunities
- Greater autonomy or access to resources
- Work/life balance benefits

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HR Role in Recognition

Promote a strategic recognition program.

Tie recognition programs to corporate values.

Encourage corporate spending on employee recognition.

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Engagement Practices During Separation

The employer brand is strengthened by:

- Humane and honest behavior during workforce reductions.
- Exit interviews that uncover obstacles to engagement.
- Well-handled separation processes.
- Creation of an alumni network.

Maintaining awareness of engagement during separation can lead to the eventual return of valued employees or valuable referrals of new employees.

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Performance Management

Maintaining or improving employee job performance



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Performance Standards

Management expectations translated into:

Behaviors	Results
What the organization wants the employee to do	What the employee must produce or deliver

Standards should be objective, measurable, realistic, and stated clearly in writing (or otherwise recorded) and communicated throughout the organization.

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Performance Appraisal

Measuring the degree to which an employee (or group) accomplishes work requirements

Purposes

- Provide feedback and counseling.
- Help in allocating rewards and opportunities.
- Help in determining employees' aspirations and planning developmental needs.

Desired Outcomes

- Constructive feedback and improved productivity
- Training and developmental needs
- Clear expectations
- Commitment and mutual understanding

Performance evaluations should be communicated continuously.

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Performance Appraisal Methods

Category Rating	Comparative	Narrative
• Graphic scale • Checklist • Forced choice	• Ranking • Paired-comparison • Forced distribution	• Essay • Critical incidents • Field review

Management by objectives (MBO) and behaviorally anchored rating scale (BARS) may be used to overcome appraisal challenges.

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Errors in Performance Appraisal

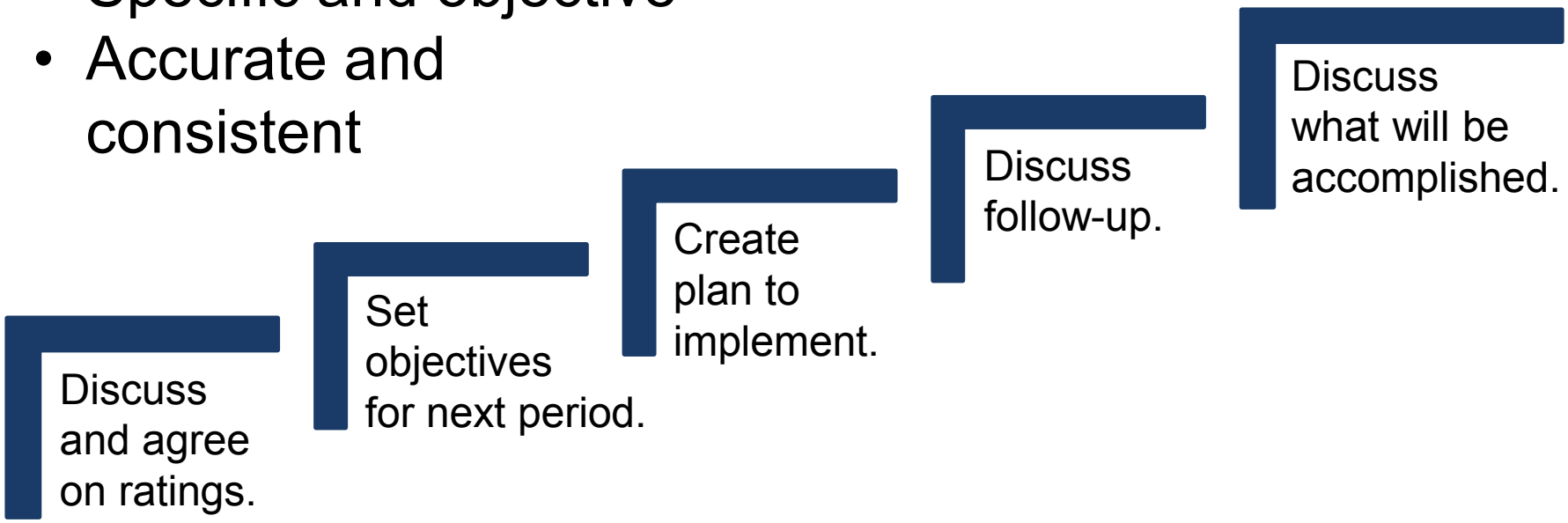
Halo/horn effect	Strictness
Recency	Leniency
Primacy	Central tendency
Bias	Contrast

© SHRM

Appraisal Meeting

Proper **documentation** is critical:

- Timely
- Specific and objective
- Accurate and consistent



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Evaluating the Performance Management System

Approaches to measuring effectiveness of performance management system

- Track training of users.
- Track completion of activities.
- Review performance standards periodically.
- Review alignment with organization's strategic goals.
- Confirm positive relationship of appraisal results with promotions and pay increases.
- Gather feedback from users.

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Engagement Metrics

Focus on:

- Measuring outcomes with strategic significance.
- Specific metrics before and after implementing an engagement initiative.

Metrics could include:

- Employee absence rate.
- Workers' compensation incidence rate.
- Monthly voluntary turnover rate.
- Revenue per employee.
- Yield ratios.

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Evaluating Retention

- Examine **employee turnover.**
- Review **absenteeism rates** and the number of **discrimination claims.**
- Audit.
- Collect **exit** information.



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Discussion

A business unit in a health-care organization conducts an employee satisfaction and engagement survey each year. Two measures have remained low across all departments:

- Employees' perception as being valued by the organization
- Leadership's understanding of the demands of employees' daily work

Some departments are clear outliers in the data. The HR director and the department managers are uncertain why these measures have declined.

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Discussion

To ensure that these factors do not affect the unit's ability to attract and retain the best talent, senior leadership has asked the HR director to partner with the department managers to put solutions in place. The goal is to improve the unit's results in the next 12 months, which is in line with the timing of the next satisfaction survey.

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Discussion

To improve the business unit's employee engagement results within the next 12 months, what is the first thing the HR director should do?

A. Communicate the survey results via an e-mail broadcast to the entire employee group in the business unit.
B. Conduct focus groups with employees in the departments that had the greatest decline in the two measures.
C. Coordinate a meeting with all department managers to review the survey results and determine next steps.
D. Meet with senior leadership to better understand the goals and expectations for the next survey process.

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Feedback

The correct answer is C. Gathering all managers provides a look at the entire spectrum of performance and allows discussion of successes. This demonstrates the Consultation competency.

Focus groups with employees in the departments with the greatest declines would be premature as a first step. Communicating survey results is necessary but will not help achieve the current objective. Management's goal is already clear.

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Discussion

What is the most effective way the HR director can engage the managers in the analysis of the survey data and the development of solutions?

A. Facilitate discussions between department managers with similar survey results to determine where there may be common themes.

B. Partner with department managers to form committees within and across departments to further interpret results and determine actions.

C. Clearly communicate the goals of the next survey and request that each department manager work with employees to set measurable objectives to achieve the goals.

D. Review department-level results with each manager in the business unit and develop action plans based on the analysis of the survey results.

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Feedback

The correct answer is B. This is a great way to make managers feel ownership of the survey process. It demonstrates the Leadership and Navigation competency.

Further due diligence by managers should precede any direct actions by employees.

A is not inclusive enough (only managers with similar results), and **D** does not include employees in data analysis and response development.

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Functional Area #4: Learning and Development

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Learning, Training, and Development

Learning

Acquiring knowledge, skills, behaviors, and competencies

Training

Providing knowledge, skills, or abilities (KSAs) specific to a particular task or job

Development

Preparing for future responsibilities through job experiences, relationships, assessment, and educational courses

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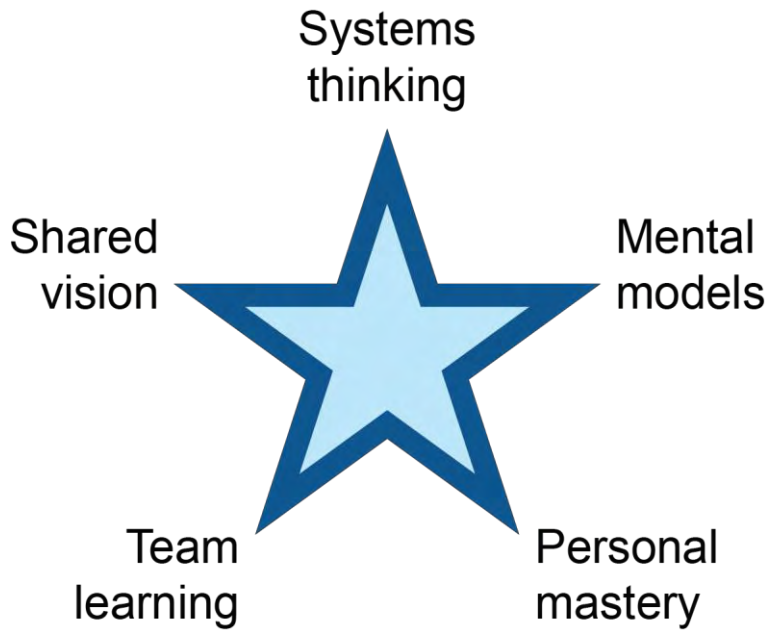
HR's Role in Learning and Development

- Ensure alignment of learning and development activity with strategic goals.
- Gather input from stakeholders.
- Use workforce analytics to guide development.
- Scan internal and external environment to identify critical learning needs and opportunities.

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The Learning Organization

A learning organization adapts quickly to changes in the environment by altering organizational behavior. It provides the environment for learning and development.



— Peter Senge, *The Fifth Discipline*

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Organizational Learning

Occurs mainly through experience and what is learned from others and training	**Individual**
Occurs through increase in skills, knowledge, and abilities accomplished within groups or teams	**Group**
Begins through shared insights and knowledge of individuals and groups and builds on past organizational memories	**Organizational**

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Knowledge Retention

Knowledge retention strategies consider:

- What knowledge may be lost.
- The consequences of losing that knowledge
- The actions that can be taken to retain that knowledge.

Technology-based systems + **Softer systems** = **Knowledge retention**

© SHRM

Global Learning and Development



- ross l ral a areness
  - n erna ional assign e n re ara ion
  - lo al ea i lding
  - anaging ir al e a s
- ss es rela ed o la s e i s and organi a ional al es

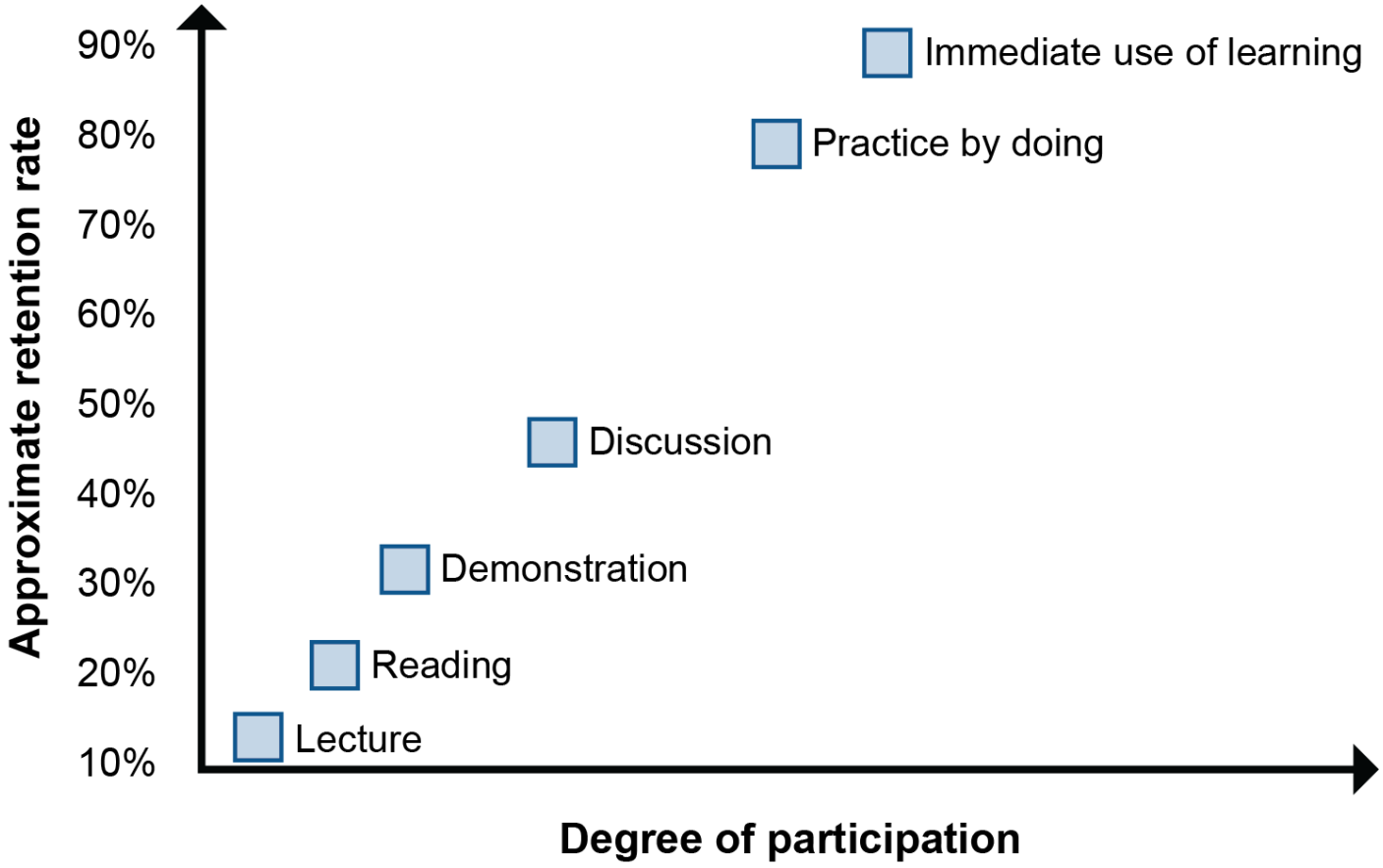
Adult Learning

Adults learn differently from children. They:

- Are self-directed.
- Have experience as a resource.
- Are ready to learn.
- Are more problem-focused.
- Are internally motivated to learn.
- Are willing to “unlearn to learn.”

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Learner Participation and Retention



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Obstacles to Learning

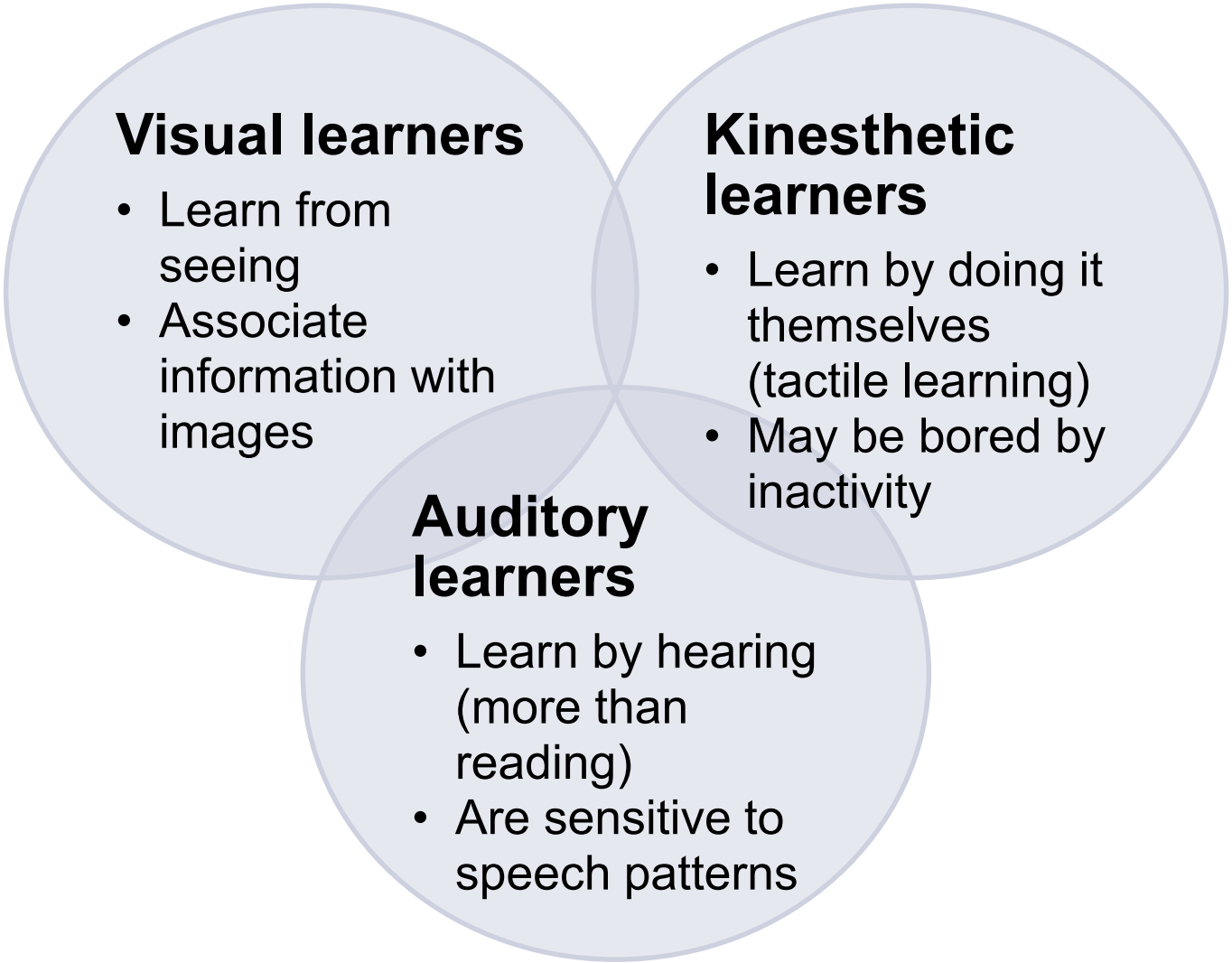
Resistance to learning can be caused by external or internal factors:

- Low tolerance for change
- Lack of trust
- Peer group pressure
- Bad previous experience
- Lack of organizational commitment

Le er age ad l learners' ex er ien e and relationships.

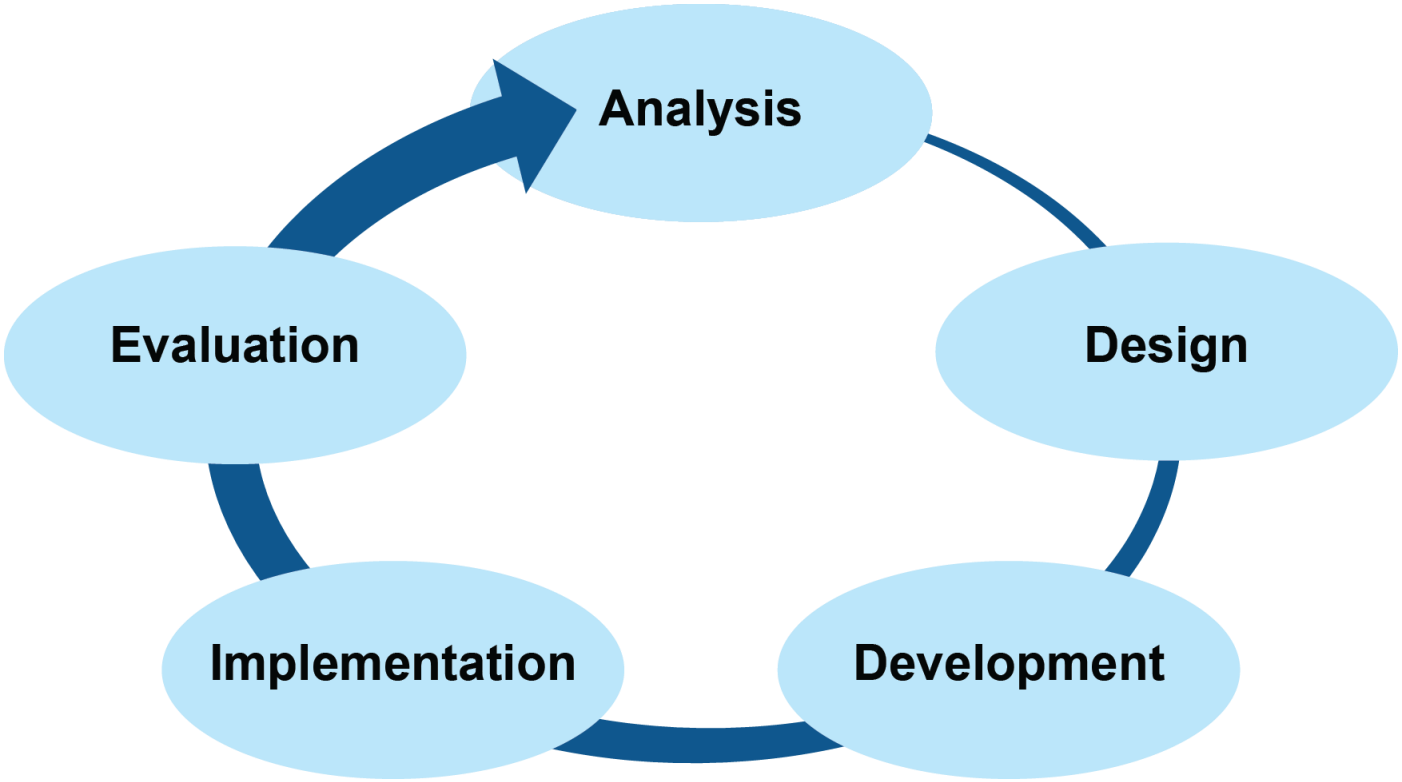
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Learning Styles



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Training: ADDIE Model



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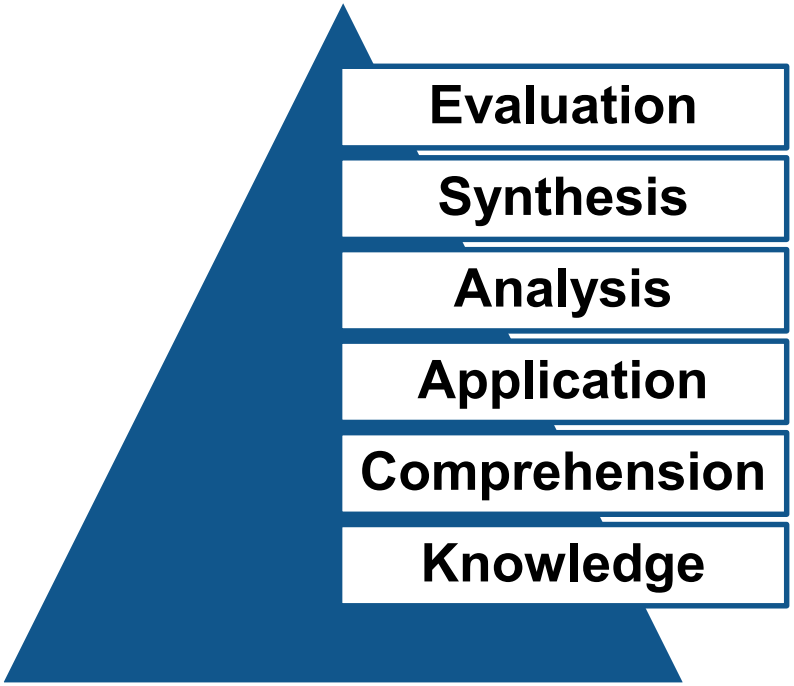
ADDIE Process—Analysis

Level	Measures
Organizational	• Where is training needed? • What conditions affect training choices?
Task	• What needs to be taught? • What does effective performance look like?
Individual	• Who should be trained? • What kind of training do they need?

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ADDIE Process—Design

Apply Bloom's taxonomy.



Be aware of cultural influences:

- Preferred learning strategies
- Team rather than individual goals
- Topic- or subject-centered versus situational or problem-focused learning
- Instructor or individual and self-directed training

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Delivery Approaches and Transfer of Learning

Self-directed	Instructor-led	On-the-job	Blended
• Self-directed • Self-paced • Multimedia • Mobile	• Actual or virtual classroom • Incorporates multiple activity styles	• Demonstration • Immediate feedback • Retesting	• Adjust mix to content and audience

Transfer of learning: effective and continuing application of knowledge and skills at the work site.

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ADDIE Process—Development

Activities

- Case studies
- Round robin
- Role plays
- Structured exercises
- Simulations
- Fishbowl activities
- T-groups



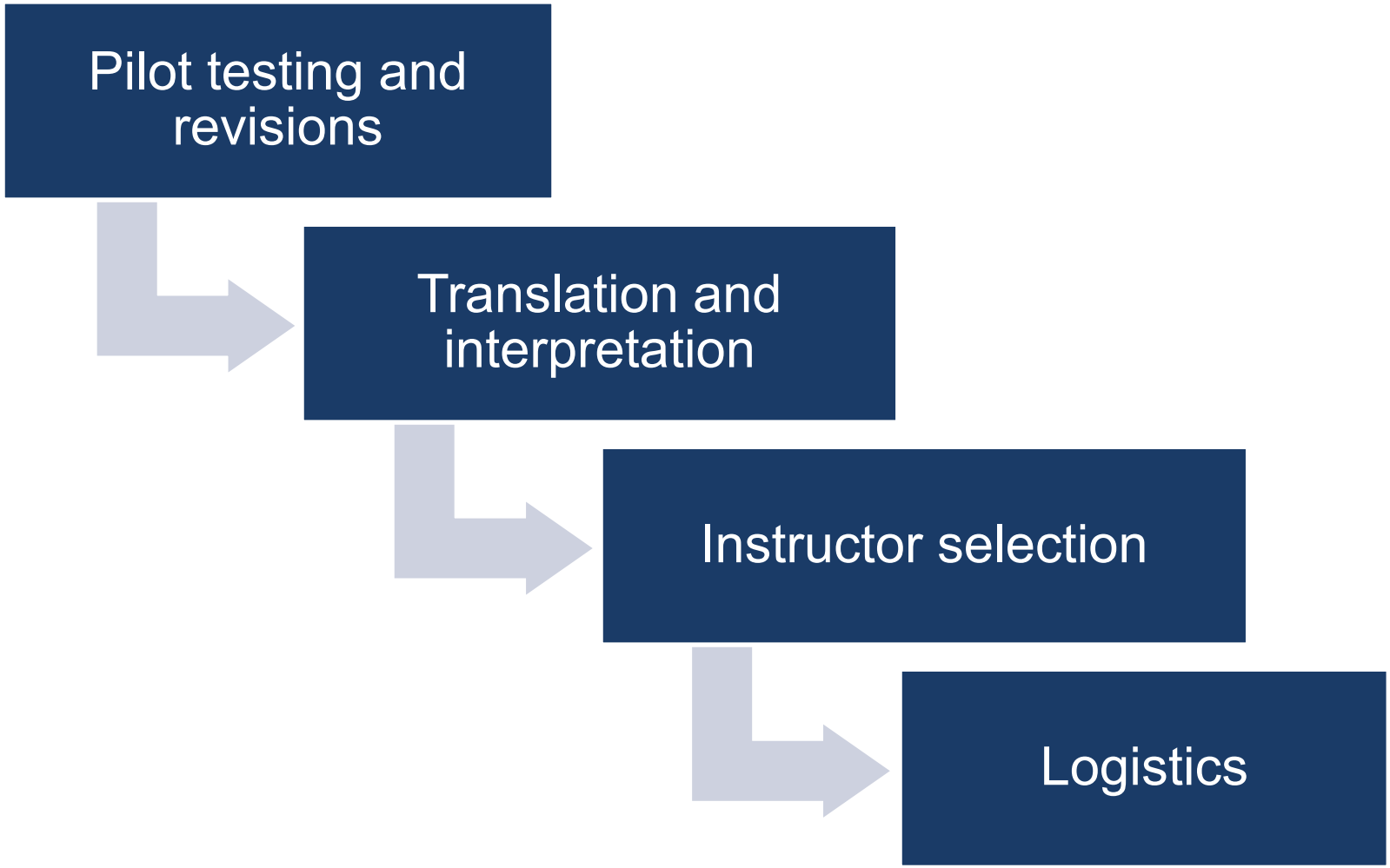
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Training Delivery Tools

- E-learning
- Learning portals
- Learning management systems
- Webinars
- Mobile learning
- Virtual-world simulations
- Social media

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ADDIE Process—Implementation



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ADDIE Process—Evaluation

- Assess objectives.
- Identify best practices.
- Conduct investment analysis.
- Measure impact of training on individuals.
- Collect data to influence future training.
- Analyze design and delivery.
- Guide future decisions.

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Kirkpatrick's Levels of Evaluation

Level 1—Reaction

Measures reaction of participants to the training.

- Checklists
- Questionnaires
- Interviews

Level 2—Learning

Measures how knowledge, skills, and attitudes changed.

- Post-measures
- Pre-/post-measures
- Pre-/post-measures with control group

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Kirkpatrick's Levels of Evaluation

Level 3—Behavior

Measures a change in behavior.

- Performance tests
- Critical incidents
- 360-degree feedback
- Simulations
- Observations

Level 4—Results

Measures organizational results.

- Return on stakeholder expectations
- ROI analysis
- Progress toward organizational objectives
- Performance appraisals

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Training ROI

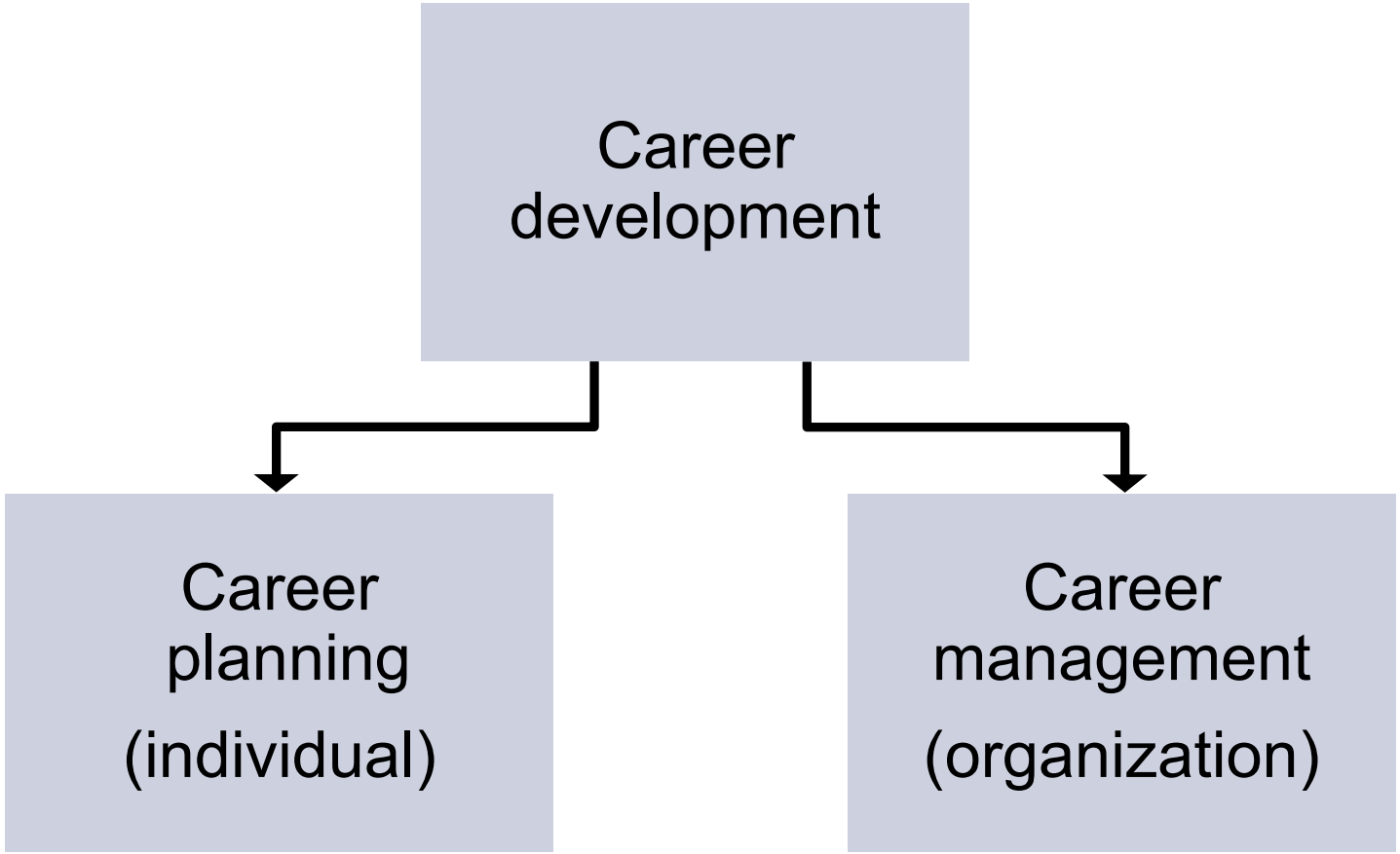
1. Isolate effects of training.
2. Convert effects (benefits) into monetary values.
3. Calculate costs of training.
4. Compare.

$$\text{ROI \%} = \frac{\text{Program benefits} - \text{Total incurred costs}}{\text{Total incurred costs}} \times 100$$

HR professionals should be aware of their organization's thresholds for ROI and their effects on L&D activities.

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Career Development



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Roles in Career Development

- Every employee bears primary responsibility for his or her own career.
- Managers can perform the following roles:
  - Coach
  - Appraiser
  - Advisor
  - Referral agent

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Individual Development Plans

Base-line information:

- Employee profile
- Career goals/objectives
- Development objectives
- Training and development interventions
- Outcomes
- Signatures and dates

Most effective when:

- Aligned with organizational needs.
- Are an objective, accurate assessment.
- Include challenging development activities.
- Include coaching and feedback opportunities.
- Employee owns and embraces them.

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Cultural Influences on Career Development

Be mindful of cultural effects:

- Cultural characteristics (e.g., power distance, paternalism, time orientation)
- Favoritism within groups
- How advancement opportunities may be seen
- External conditions (e.g., unions, political instability)

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Forms of Career Development

Employee self-assessment tools

Apprenticeships

Job rotation, enlargement, enrichment

Projects, committees, teams

Internal mobility

Coaching and mentoring

Universities, colleges, associations, continuing education

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Career Development Trends

- Multiple jobs and careers
- Greater individual responsibility
- Nontraditional employment
- Temporary, contract, and contingent work
- Accelerated responsibility

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Leader Development

Leadership

Ability of an individual to influence a group or other individual to achieve a goal or result

Leader development

Organization's training and professional development programs aimed at building executive/manager skills and abilities to influence and flex to different and challenging situations

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Why Leaders Fail

- Inability to learn from mistakes
- Lack of:
  - Interpersonal skills
  - Openness to new ideas
  - Accountability
  - Initiative
- Assumption of dominance
- Self-identification with organization
- Thinking they have all the answers
- Demand for total backing
- Obsession with company image
- Underestimation of major obstacles
- Resistance to change and new ideas

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HR's Role in Leader Development

- HR professionals must be leaders themselves, proposing and implementing changes that improve the organization's effectiveness.
- They can improve the organization's leadership bench strength by:
  - Identifying current employees who are or could be leaders and providing them with leadership development opportunities.
  - Making sure that recognized leaders have what they need to develop skills further or improve weak skills.
- They continually align the organization's leadership needs with its strategy and adjust development programs accordingly.

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Obstacles to Leader Development

- Slowly developing crises
- Potential negative publicity
- Suppressive effects of organizations and communities
- Lack of global mindset
- Valuing individual performance over teamwork
- Insufficient organizational focus

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Leaders at Different Levels

Provide the competencies leaders need throughout their careers.

Lower-level

- Administering and managing
- Aligning tasks with strategic mission and goals
- Addressing obstacles

Middle-level

- Implementing structures and policies
- Leading multiple units
- Planning and coordination

Executive-level

- Long-range assessment and planning
- Communicating strategic vision and plans and implementing structural and policy changes
- Managing stakeholder relationships
- Fostering a high-performance culture

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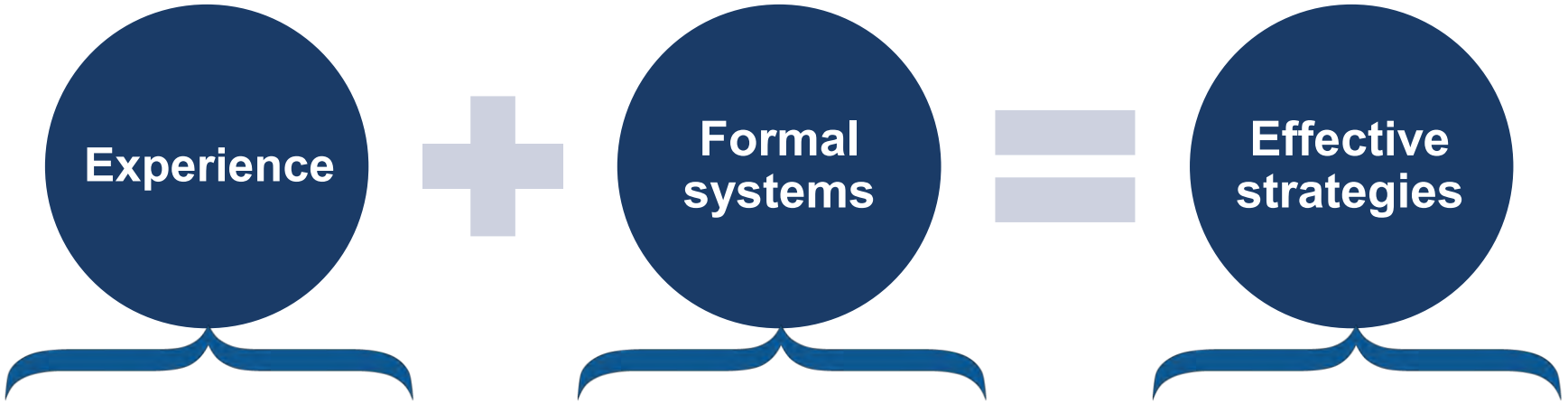
Leadership Assessment Tools

- Leadership inventories (e.g., 360-degree instruments)
- Work sample measures
  - Situation judgment tests
  - Assessment centers and simulations
- Emotional intelligence assessment tools



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Leader Development Strategies



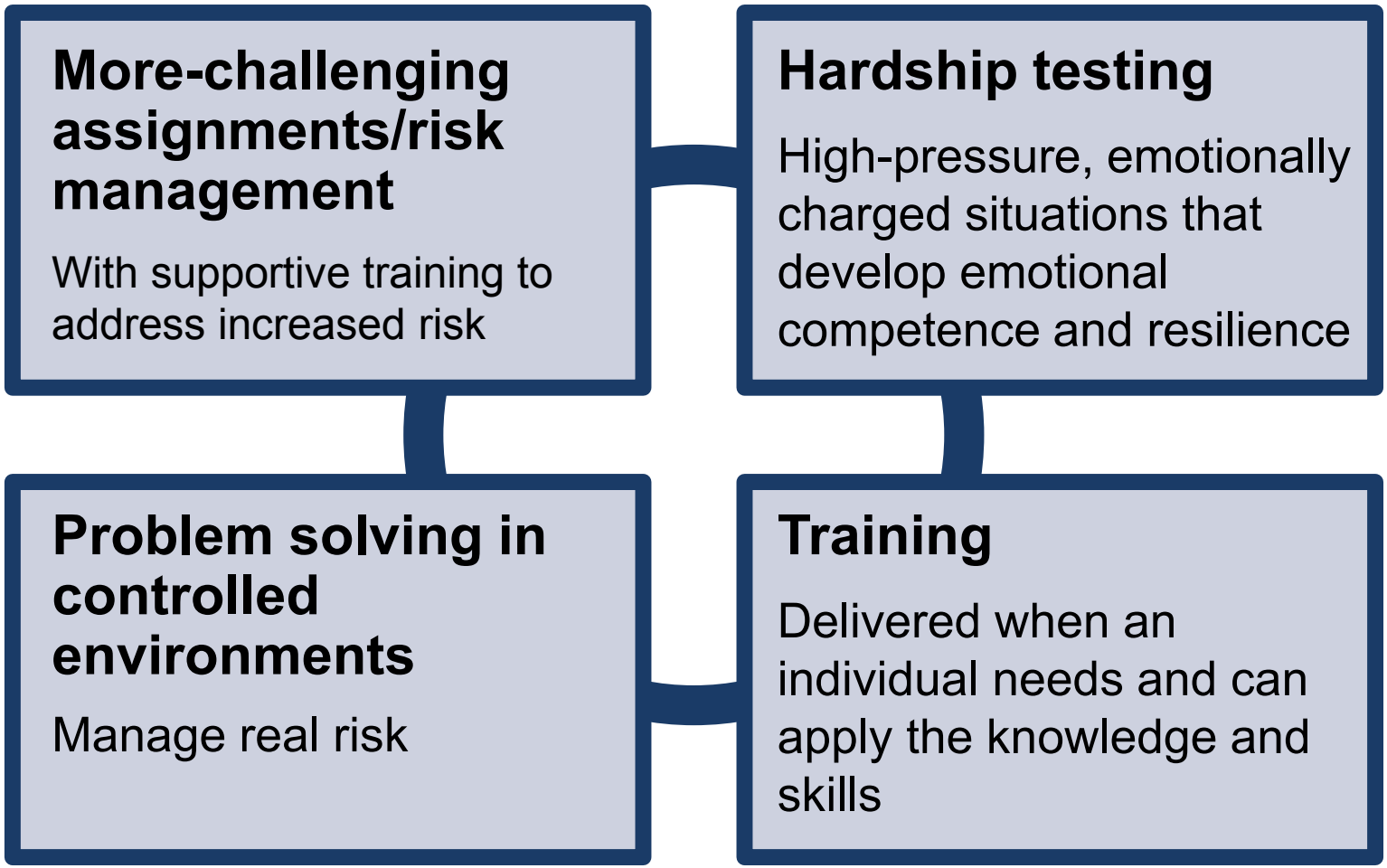
- Even “bad” bosses” can positively influence one’s sense of leadership.
- “Good” bosses focus on mentoring and coaching.

- Build leadership pipeline in integrated, system-wide manner
- Require organizational discipline

- Greater competitive advantage
- Sustainable leadership strategy built on actions and culture

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Leader Development Methods



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Action Learning Leadership Development

- Continuous learning and improvement through "real work"
- Opportunities for reflection and feedback
- Learning how to learn
- Opportunities to apply new skills immediately

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Developing Global Leaders

Be aware of the challenges in a global organization such as:

- Local feelings about whether leaders are "born" or "made."
- Leadership models in different cultures.

Respond by:

- Developing an organizational culture that values leader development.
- Localizing leadership competency models.
- Prioritizing local acceptance and support.

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Discussion

An independent luxury hotel (single location, not a franchise), located in a competitive market, needs a comprehensive management and supervisory development program and employee skills training. HR is tasked with providing a solution as quickly as possible.

Retail skills are critical in the workforce, since the gourmet restaurant, day spa, and shops provide critical revenue. Revenue from retail has been declining.

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Discussion

Due to the immediacy of the training request, what is the best and first action the HR director should take?

A. Outsource the task to a local consultant who can immediately offer generic courses on time management and effective communication.

B. Assess organization-wide training needs and, with management, prioritize based on ROI.

C. Convene the executive team and solicit their input on topics.

D. Focus on team building.

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Feedback

The correct answer is B. This question requires competency-related judgment—specifically, Critical Evaluation. The causes for declining retail performance must be understood.

This learning and development opportunity should not be restricted to the single identified issue.

HR would not demonstrate its value as a consultant by deferring its leadership role to management. Generic training may be quick but ineffective.

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Discussion

What question should the HR response team analyze first as they consider training design?

A. How many people will need to be trained in each retail operation?
B. What effect will work schedules and wage laws have on our choice of training delivery method?
C. What would be the optimal length of a training event for each group?
D. How do the learner profiles in these different operations compare?

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Feedback

The main issue during the design phase is to choose an approach that is effective in achieving training objectives while being efficient in using the training budget and the learners' time.

The correct answer is D. The different groups may have distinct learning needs, even when the content may be the same. For example, suggestive selling could be a more difficult concept for some cultural or demographic groups. The Critical Evaluation and Global and Cultural Effectiveness competencies are demonstrated.

A does not provide critical information about how these employees learn.

B addresses constraints on delivery options, but this issue should follow a discussion of design.

C could create problems by suggesting actions without first understanding what is needed.

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Functional Area #5: Total Rewards

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Key Terminology

Total rewards	Encompasses direct and indirect remuneration approaches that employers use to attract, recognize, and retain workers; "remuneration" and "compensation and benefits" have the same meaning.
Benefits	Tangible payments or services provided to broad groups of employees to cover common issues (e.g., retirement and paid time off), in addition to those required by law.
Compensation	Refers to all other financial returns (beyond any tangible benefits payments or services), including salary and allowances.
Perquisites	Compensation provided on an individual basis in the form of goods or services (e.g., automobiles and mobile devices).
Incentives or premiums	Payments in return for the achievement of specific, time-limited, targeted objectives; often calculated as a percentage of base salary and paid as lump sums or ongoing payments.

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Compensation Philosophy

A short (but broad) statement documenting the organization's guiding principles and core values about employee compensation

Philosophy should be:

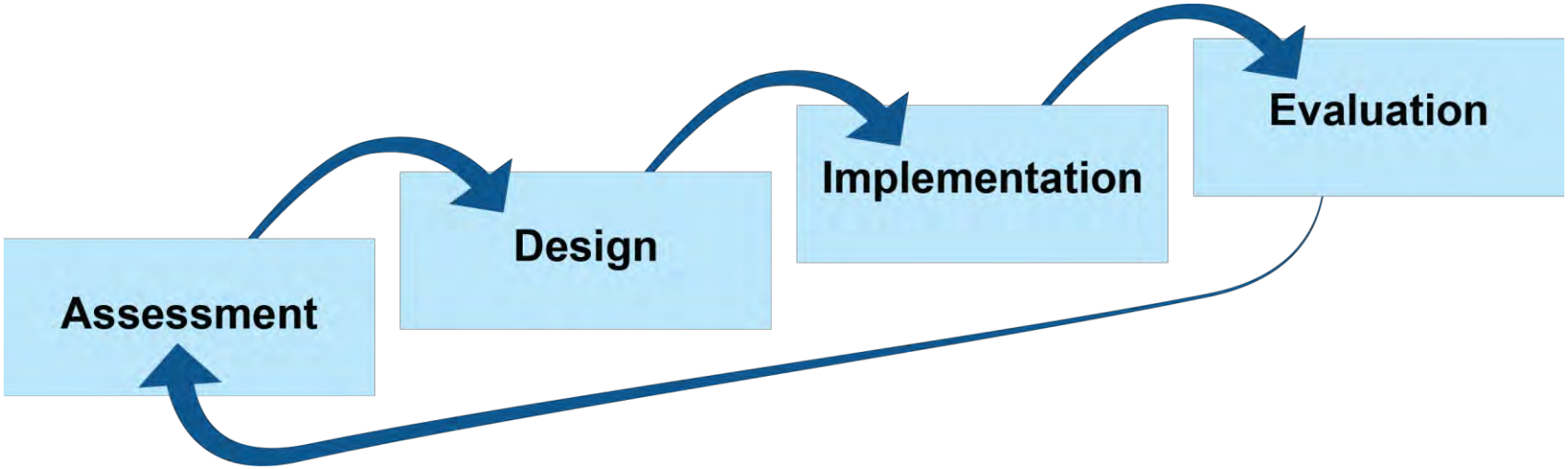
- ✓ Equitable
- ✓ Defensible
- ✓ Perceived as fair
- ✓ Fiscally sensitive
- ✓ Legally compliant
- ✓ Easy to communicate

Programs offered should be:

- ✓ Fair
- ✓ Competitive
- ✓ Aligned to philosophy and policies

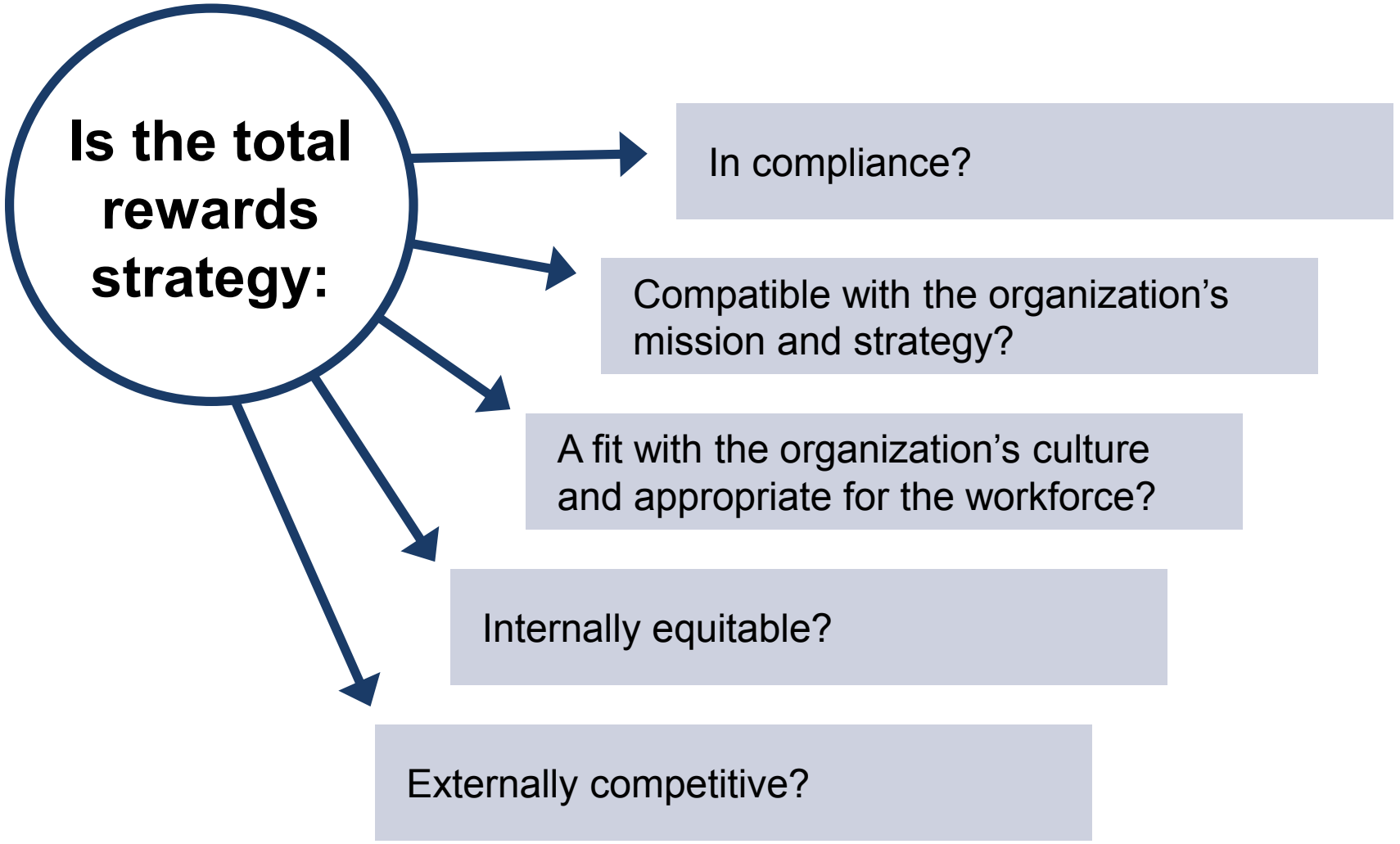
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Process to Develop a Total Rewards Strategy



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Evaluating a Total Rewards Strategy



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Objectives of a Total Rewards Strategy

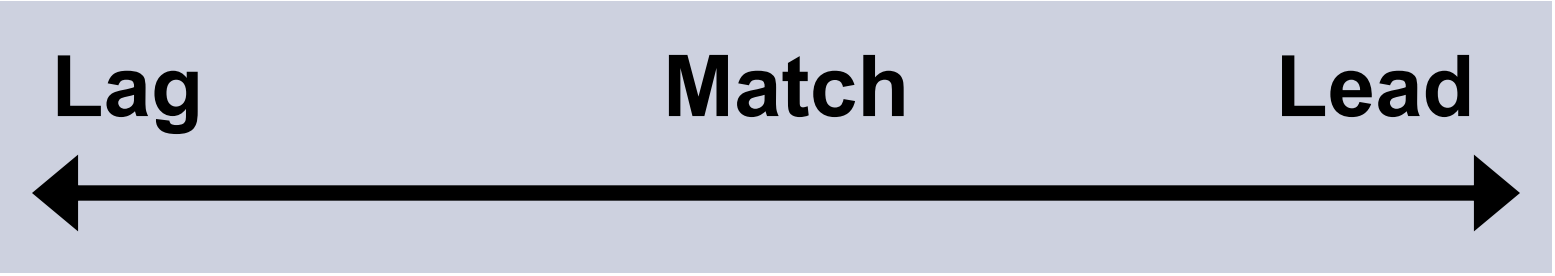
- Compatible with the organization's mission and strategy
- Compatible with the organizational culture (e.g., entitlement-oriented versus contribution-oriented)
- Appropriate for the workforce
- Internally and externally equitable

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Pay Strategies

Compares an organization to other organizations that share its industry, occupation, or location

Organizations may decide to:



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Global Influences

- Standardization versus localization
- Culture
- Competitive labor market
- Collective bargaining, employee representation, government mandates
- Economic factors
- Taxation

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Importance of Total Rewards Strategy Communication



- Educating employees about the organization's total rewards practices
- Achieving employees' buy-in and making them aware of the overall value
- Supporting the organization's strategic objectives
- Supporting the organization's goals for performance management

A total rewards program is a powerful motivator when it is understood and accepted by employees.

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Pay Transparency Considerations

Potential advantages

- Supports the achievement of strategic business objectives
- Reduces conflicts among employees and between employees and management regarding pay

Potential challenges

- Can lead to jealousy and performance problems and employees questioning the system's fairness
- Poses a risk that information may be used for inappropriate or unintended purposes
- Requires protection of employee privacy and proprietary information
- Raises individual and cultural concerns about fairness in the global environment

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Effective Communication of Total Rewards

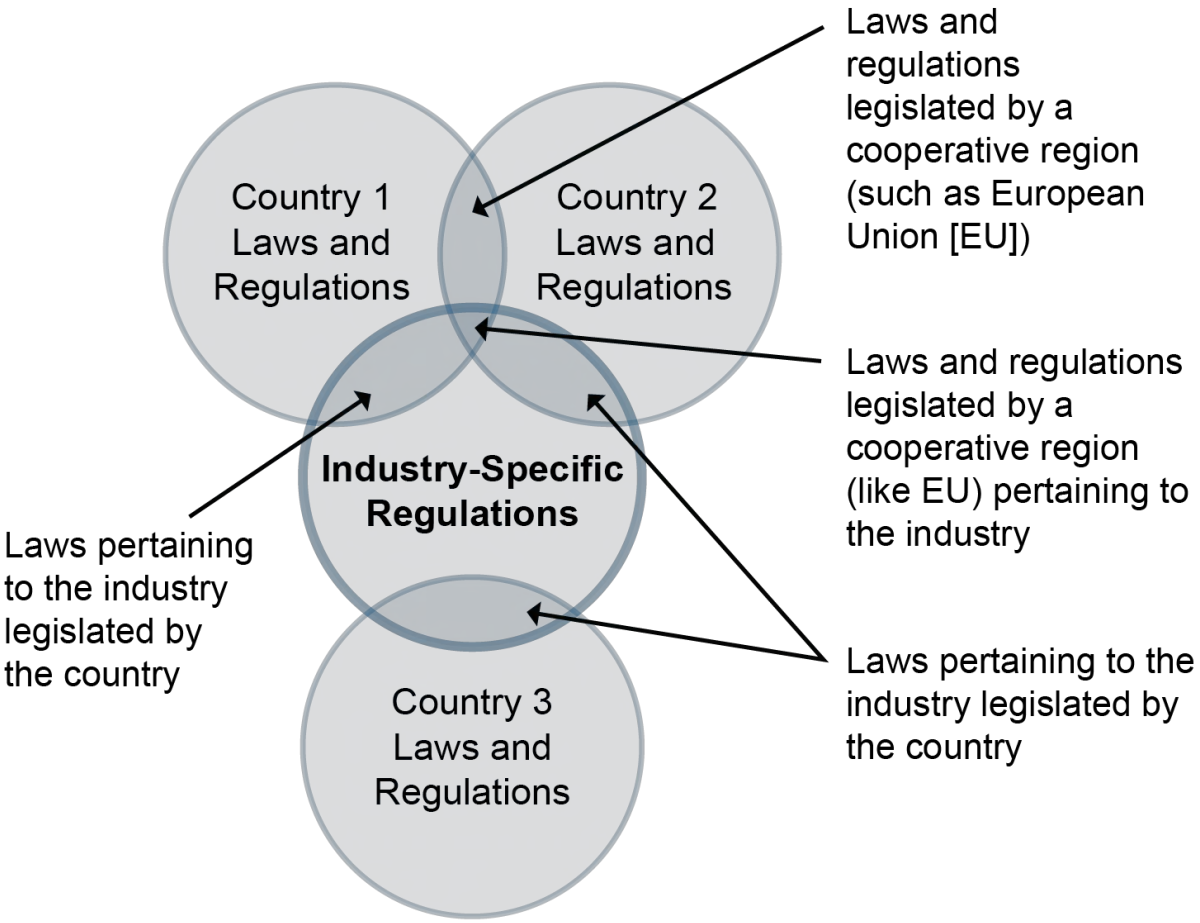
Requires attention to a variety of factors, such as:

- ✓ Type of information (required and voluntary communication)
- ✓ Communication plans
- ✓ Direct communication
- ✓ Individualized total compensation statements
- ✓ Self-service technologies
- ✓ Consistent key messages

Starts with an overarching strategy and standard implementation guidelines but adaptable to organizational specifications and local conditions and norms.

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Legal Compliance Example



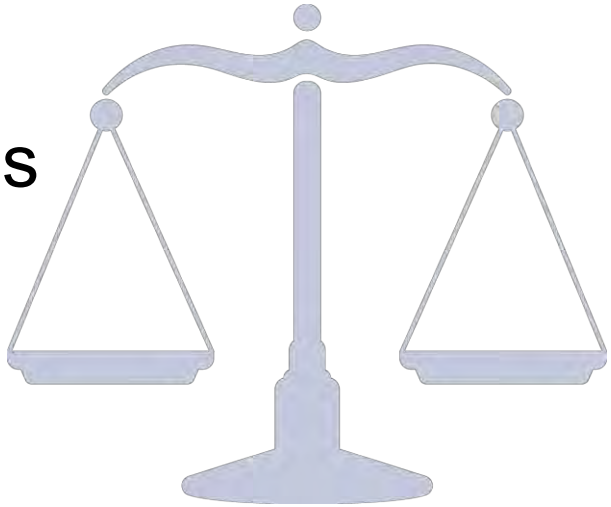
International Laws and Regulations (for example, ILO)

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Legal Compliance Complexities

Due diligence should include an understanding of relevant:

- International standards and regulations.
- Extraterritorial application of national law.
- Application of national laws to international-owned subsidiaries operating within a nation's borders.



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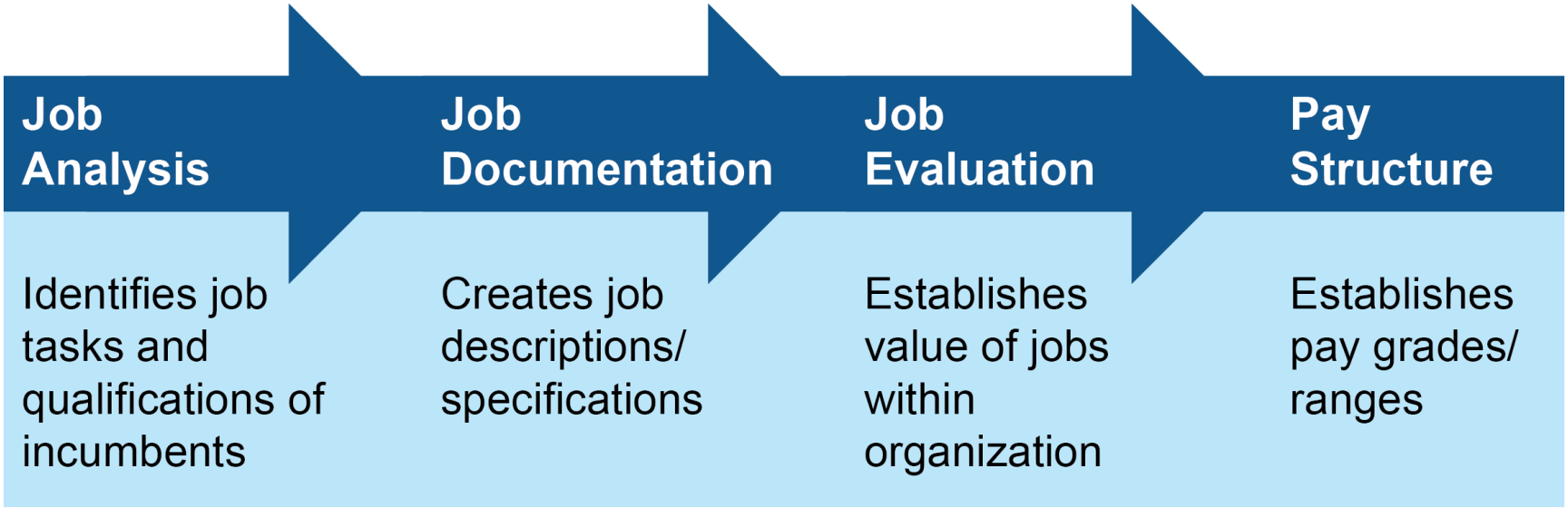
Finance and Accounting Knowledge

- Total rewards are a significant component of an organization's operating expenses.
- Understanding key finance and accounting terms and concepts, financial statement basics, and payroll provides critical insights.

Partnering with finance colleagues is always helpful as well as consulting "finance for non-finance professionals" resources.

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Compensation System Design



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Job Analysis

Knowledge	Body of information necessary for task performance
Skills	Level of proficiency needed for task performance
Abilities	Capabilities necessary to perform job

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Roles of Job Analysis in HR



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Job Analysis Considerations

Generally gathers information about:

- Job context—the purpose of the job, its work environment, its place in the organizational structure
- Job content—the duties and responsibilities of people who hold the job
- Job specifications/qualifications—knowledge, skills, and abilities required for a person to have a reasonable chance of successfully performing the job
- Performance criteria—desired behaviors/results that will constitute performance in the job

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Job Analysis Methods

- Observation
- Interview
- Open-ended questionnaire
- Highly structured questionnaire
- Work diary or log

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Job Evaluation

Determines the relative worth and pay structure of jobs based on an assessment of their content and relationship to other jobs in the organization

Nonquantitative or whole-job methods

Establish order of jobs in terms of their value to the organization

For example, job ranking, paired-comparison, job classification

Quantitative methods

Use scale based on compensable factors to show how much more one job is worth than another

For example, point-factor system

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Market-Based Job Evaluation

Determines the relative worth and pay structure of different jobs based on their market value or the going rate in the marketplace

- Sometimes called “market pricing.”
- Data collection includes survey formats, survey analysis, and slotting.
- Job content or internal job relationships may be secondary considerations.

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Remuneration Surveys

Collect information on prevailing market compensation and benefits practices

Internal surveys	External surveys
Allow for more control over survey technique and data analysis	Offer different options for externally published data

Considerations between internal and external surveys:

- Internal time and expertise required
- Relevance/match of external surveyed jobs to organization's jobs
- How current external survey data is
- Expense associated with type of survey

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Global Market Survey Considerations

What are the best sources of salary data?

How much information is available?

How frequently does the market change?

Does the data for the jobs available match or compare to the ones being compared?

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Data Analysis

Salary data may need to be aged, leveled, and/or factored for geography.

- Aging uses movement in market rates to adjust outdated salary data.
- Leveling adjusts salaries when surveyed jobs are similar but not identical to jobs in the organization.
- Since wage rates will vary by location, the organization should factor any national salary survey data for geography.

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Additional Information Sources

Benchmarking

- Initiatives range from informal networking and knowledge sharing to formal engagements with private firms.
- Helps to identify gaps in policies and procedures compared to competitors and best practices.

Other Sources

Typical sources include:

- Governments (e.g., ministries of labor or government statistical bureaus).
- International organizations (e.g., International Labor Organization).
- Membership-based business organizations (e.g., employer federations and local chambers of commerce)
- Professional, trade, and industrial associations

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Creating a Pay Structure

Establish pay grades.

- Group jobs that have the same relative internal or external worth.
- Pay the same rate or within the same pay range.

Set pay ranges.

- Set upper/lower bounds of possible compensation for individuals whose jobs fall in a pay grade.
- Market data from surveys used to determine a midpoint.

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Compa-Ratios

- Divide the pay rate of an employee by the midpoint of the range.
  - Given a range of $16 to $20 an hour, a midpoint of $18, and a salary of $16 an hour, the compa-ratio is:

$16 ÷ $18 = .89 or 89%.

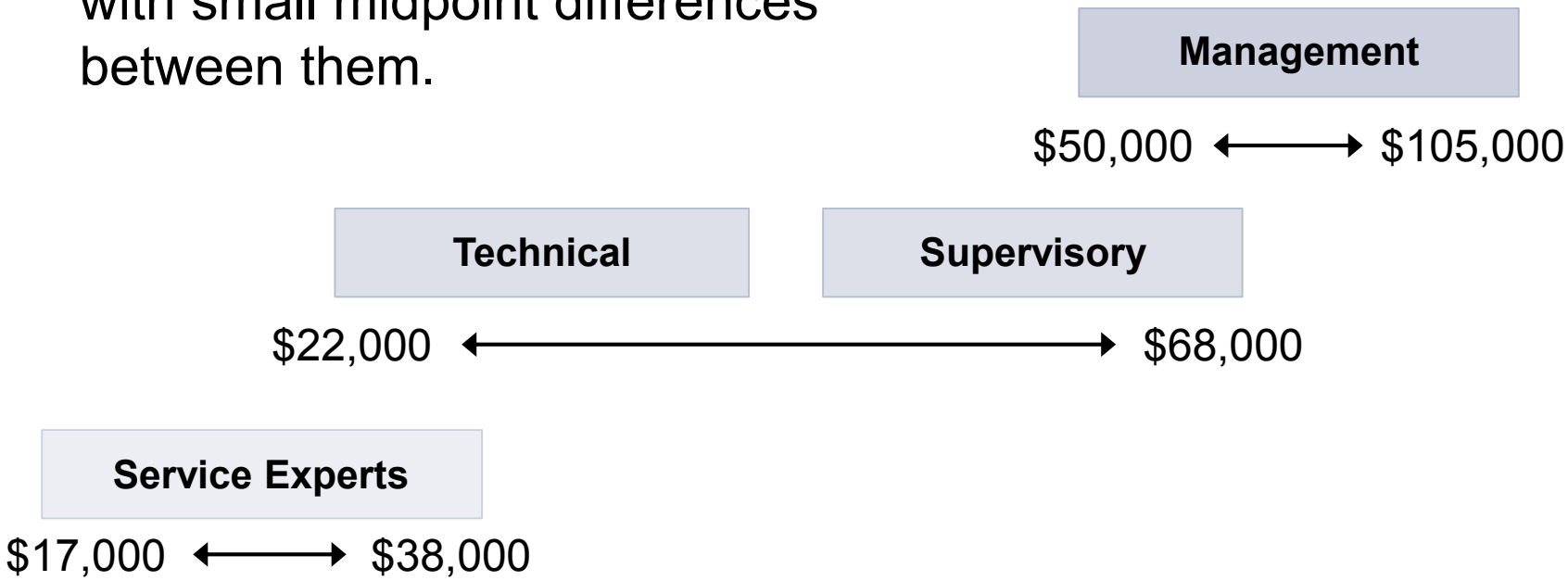
- Compa-ratios below 1.00 mean wages are below the midpoint; compa-ratios greater than 1.00 mean wages exceed the midpoint.

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Broadbanding

Combines salary grades to create larger ranges

- Allows people to move within their job without outgrowing the pay scale.
- Avoids having too many grades with small midpoint differences between them.



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Broadbanding Advantages and Disadvantages

Advantages	Disadvantages
• Provides wider ranges • Reduces the number of job grades • Supports de-layering • Provides more autonomy to line managers • Enhances employee mobility	• Reduces the value of ranges • Affords less control • Creates overly broad ranges • Difficult to maintain perception of equity • Reduces the opportunity for promotion • Can lead to divergence from the market

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Wage and Hour Law Compliance

Considerations include:

- Minimum wage and increases
- Overtime and holiday pay
- Equal pay
- Exemption
- Cap on hours worked
- Special issues under local law
- Taxation

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Methods for Compensating Employees

Develop and maintain a pay system that helps attract, motivate, and retain employees.

Most employees receive base pay in the form of an hourly wage or salary.

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Base-Pay Systems

Single- or flat-rate	• Employees receive the same rate of pay, regardless of performance or seniority. • Generally corresponds to target market survey data for the job. • May be a training wage in a flat-rate job.
Time-based step-rate	• Rate based on longevity. • Increases occur on pre-determined schedule: – Automatic by percentage and time. – Affected by performance. – Combination of step-rate and performance (when job rate is reached).

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Base-Pay Systems

Performance-based or merit pay (P4P or PfP)	• Linked to measures of work quality or goals. • Employers must be able to defend practices. • Global differences must be addressed: – Types of incentives and remuneration. – Individual vs. collective performance. – Impact on risk.
Productivity-based	• Based on output. • Straight piece-rate (base plus). • Differential piece-rate (rate increases in steps after standard is met).
Person-based	• Affected by employee's knowledge, skill, or competencies.

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Pay Adjustments

- Pay adjustment matrix
- COLAs
- General pay increases
- Seniority increases
- Lump-sum increases
- Market-based increases

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Differential Pay

Time-Based

- Based on when an employee works
- *Examples:*
  - Shift pay
  - Emergency-shift pay
  - Premium pay
  - On-call or call-back pay
  - Reporting pay
  - Travel pay
  - Overtime pay

Geographic

Differentials:

- For labor costs
- To attract workers to certain locations
- For foreign countries

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Incentive Pay

- Motivates employees to perform at higher levels
- Pays for performance beyond base-pay expectations
- Must be related to aspects of the job that an employee can influence with achievable goals
- Can be structured to reward short-term accomplishments or long-term results or a balance of both short- and long-term goals

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Types of Incentives

Individual	Group	Organization-wide
Purpose is to improve individual performance *Examples:* piece rate, commissions, noncash reward programs	Used when measuring individual performance is difficult or when performance requires cooperation *Examples:* gainsharing plans, team bonuses	Reward overall results *Examples:* profit sharing, stock ownership, bonus programs

Challenges for global organizations include designing and awarding culturally appropriate incentives and regulatory compliance.

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Types of Executive Compensation

- Annual salary
- Stock option plans
- Stock purchase plans
- Restricted stock grants
- Phantom stock
- Restricted stock units
- Performance grants

HR's role in executive remuneration varies and may include:

- Consulting on strategy.
- Participating in selecting outside experts.
- Monitoring and evaluating compensation systems.

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Direct Sales Compensation



Straight salary

Use when:

- More time is spent on service than sales.
- Measuring sales performance is difficult.
- Individual sales and support efforts are hard to separate.
- Sales cycle is long.

Salary plus commission and/or bonus

Use when:

- Organization needs to reward behaviors that support strategy.
- System needs to be adaptable and allow for readjustments.
- Competitors use the same strategy.

Straight commission

Use when:

- Organizational objective is to increase volume (even if it means less service).
- Holding down cost of sales is important.
- Competitors use the same strategy.

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Compensation for Outside Directors

- Base pay or retainer
- Fees paid for various events or services
- Benefits (e.g., liability, life insurance)
- Perquisites
- Nonqualified stock options/grant plans
- Nonqualified deferred compensation programs

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Pay Variations

Red-circle rates — Rates above the range maximum

Green-circle rates — Rates below the range minimum

Pay compression — Small differences in pay regardless of experience, skills, level, or seniority

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Common Compensation Metrics

Metric	Description/Formula	Strategic Value
Compensation ratio	Relationship of current salaries to the midpoints of the salary ranges $\frac{\text{Employee's pay rate}}{\text{Pay range midpoint}}$	Allows managers to consider if employees are being paid appropriately
Total organization compensation expense	All costs associated with employment, including salaries, overtime, benefits, and bonuses $\frac{\text{Salaries + Overtime + Benefits + Bonuses}}{\text{Total operating costs}}$	Helps an organization manage the costs associated with human capital

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Choosing Benefits/ Perquisites

Which benefits are required by law?

Which benefits enable an employer to compete for employees?

Which benefits are cost-effective to purchase and to administer?



Which benefits do employees prefer?

Which benefits provide creative choices?

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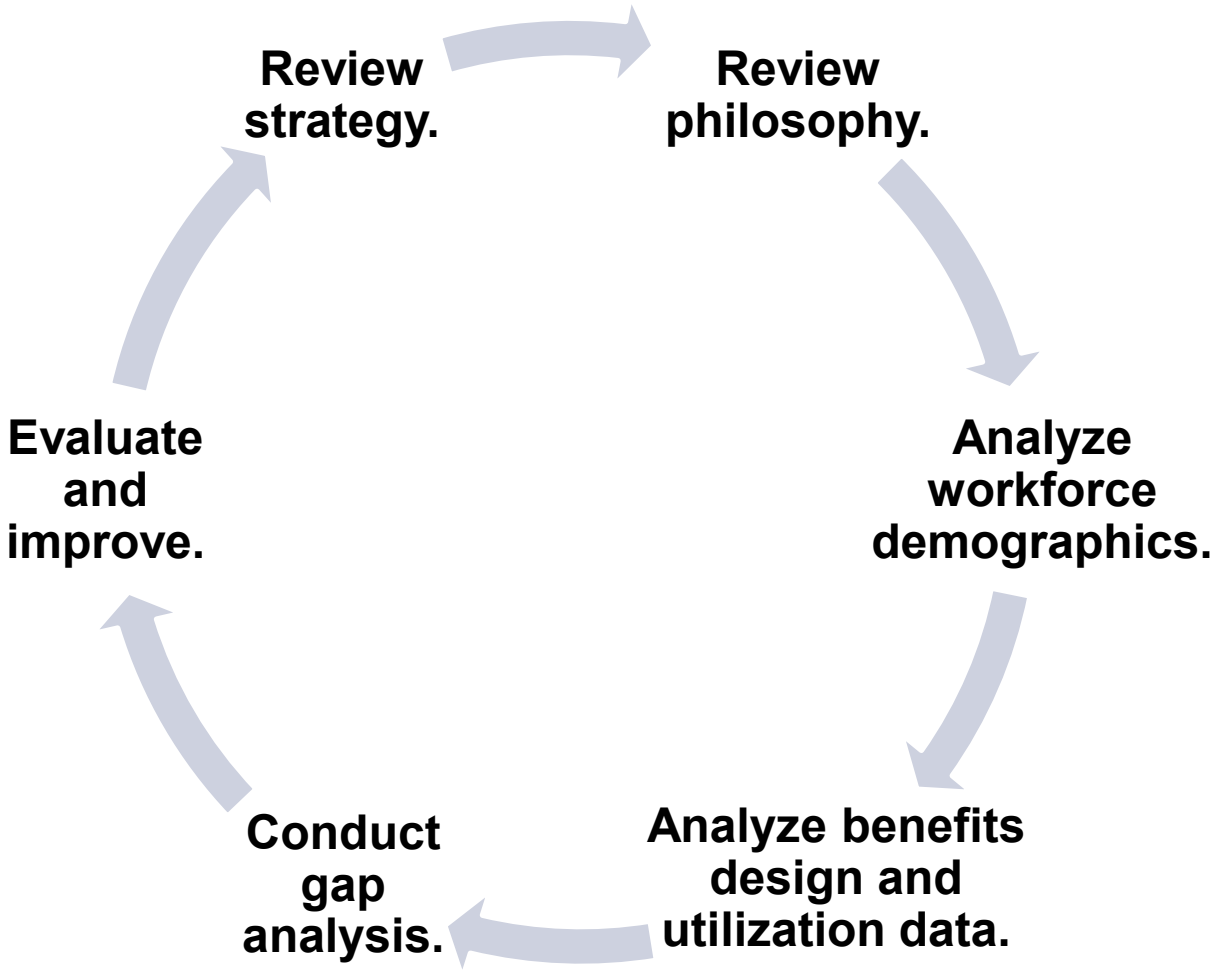
Variations in Benefits

- Government-provided benefits
- Government-mandated benefits
- Voluntary or discretionary benefits
- Market practice benefits
- Tax treatment of benefits

Standardization is difficult because of variations in benefits.

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Benefits Needs Assessment



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Types of Benefits

Paid-Time-Off and Family-Oriented Benefits	
Paid time off (PTO)	Often legislated or part of collective bargaining agreements; embedded in culture and tradition. *Examples:* public holidays, parental leave, leave for illness.
Family-oriented	Help employees balance work roles with family roles. *Examples:* flexible work hours, child and elder care, domestic partner benefits.

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Types of Benefits

Health and Welfare Benefits	
Health	Funded through social or private insurance; affected by culture and location. *Examples:* medical, dental, wellness, employee assistance programs.
Disability	Pays employees unable to work because of illness or injuries; causes may be in or outside the workplace; may be funded by government, employer, and employee. Short-term, long-term, and permanent.
Life insurance	Funded through social insurance and/or private insurance; paid to beneficiary.
Workers' compensation	Pays employees portion of salary if they are unable to work due to a work-related accident or illness.

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Terminations and Severance

Terminations

- Voluntary terminations
  - When an employee resigns or retires
- Nonvoluntary terminations
  - When employers discharge employees for cause or workforce adjustments
- Circumstances under which an organization can terminate employment are prescribed by law and differ by country.

Severance

- If required, severance pay must be compliant and fairly compensate terminated employees to avoid discrimination lawsuits and regulatory fines and penalties.
- Circumstances, requirements, and amount varies by country; some similarities within regions.

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Unemployment Insurance

Applies toward paying a percentage of an employee's salary in the case of the employee losing his or her job through no fault of the employee.

Helps workers who have been terminated to transition from one job to another equally suitable job.

May require a waiting period; benefit period is limited, as is the financial payout.

Other terms associated with this benefit are employment insurance, job seekers' allowance/benefit, redundancy funds.

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Retirement Plans

Defined Benefit Plan

- Promises payment of a specific benefit amount at retirement.
- Vesting schedule is set up.
- Benefits are based on service and perhaps salary; decided by a formula.
- Provides a pre-specified level of benefits.
- Employer bears investment risk.

Defined Contribution Plan

- Money contributed regularly is specified.
- No promise is made regarding the future value of the benefit.
- Employees receive 100% of their investment and the vested employer portion.
- Requires individual employee accounts.
- Amount at retirement depends on the return.
- Employee bears investment risk.

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Fiduciary Responsibility

Fiduciary duty

Implies a legal obligation of one party (e.g., the employer) to act in the best interest of another (e.g., the employees).

Fiduciary

Refers to the obligated party (e.g., an individual or party entrusted with the care of money or property).

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Social Security

- Varies by country.
- Generally refers to:
  - Social insurance, where people receive benefits or services in recognition of contributions to an insurance program.
  - Services provided by government or designated agencies responsible for social security provision.
  - Basic security irrespective of participation in specific insurance programs where eligibility may otherwise be an issue.

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Perquisites

- Free/discounted products or services
- Mobile devices
- Professional organizations/certifications
- Training programs
- Education fees
- Housing
- Company car and/or cash car allowances
- Club memberships
- Meal allowances

Perquisites vary by country and culture.

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Common Benefits Metrics

Metric	Description/Formula	Strategic Value
Benefits costs as a percentage of total payroll costs	Reflects the total costs of benefits divided by the total payroll costs for the organization. $\frac{\text{Total benefit costs}}{\text{Total payroll costs}}$	This metric identifies the proportion of benefits costs.
Health-care expense per employee	Measures the health-care expense per employee for a given fiscal year. Total expenses include employee- and company-paid premiums, stop-loss insurance, and administrative fees $\frac{\text{Total health-care expenses}}{\text{Number of employees enrolled in a health-care plan}}$	This measurement can show the per capita cost of the benefit (e.g., the average per person).

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Common Benefits Metrics

Metric	Description	Strategic Value
Annual increase/decrease in health-care benefit costs	Represents the expected increase/decrease in the organization's health-care expense for a given fiscal year; a comparison of the current health-care expense per employee metric to previous years and projected.	This measurement alerts an organization to the increasing costs of health-care benefits and helps the organization assess if actions must be taken to control benefits costs.

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Discussion

The leader of a mid-sized organization asks HR to recommend an approach to total compensation practices for a new international location (the organization's first).

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Discussion

The HR director considers:

- The value the employees will add. Highly knowledgeable and talented workers will be required.
- Competitiveness in the local labor market. It's tight. Many workers will have to be lured away from competitors.
- The organization's current pay practices. In current locations, total rewards practices have lagged the market due to employer brand and significant labor supplies.
- The probable labor budget in the new location.

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Discussion

- What should the HR director recommend regarding pay practices for the new location?
- What impact will this have on the organization?
- What competencies would support the HR director's performance?

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